



FINANCIAL STATEMENTS OF COVESTRO AG
FOR THE FISCAL YEAR 2025

Financial statements 2025



CONTENTS

Publication

The publication of these Annual Financial Statements does not comply with the legally required uniform electronic reporting format pursuant to Section 328, Paragraph 1, Sentence 4 of the German Commercial Code (HGB). A report in this format has been submitted to the operator of the electronic Federal Gazette in Germany and is accessible via the website of the German company register.

Combined Management Report

The Management Report of Covestro AG has been combined with the Group Management Report; the Combined Management Report is published in the Covestro Annual Report 2025. The Annual Financial Statements and the Combined Management Report of the Covestro Group and Covestro AG for fiscal 2025 have been submitted to the operator of the electronic Federal Gazette in Germany and are accessible via the website of the German company register.



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CONTENTS

Statement of Financial Position of Covestro AG	2
Income Statement of Covestro AG	4
Notes	5
Basis of Preparation	5
Accounting Policies and Valuation Principles	6
Notes to the Statement of Financial Position	9
Notes to the Income Statement	16
Other Information	19
Responsibility Statement	32
Activity-Based Financial Statements for Activities in Accordance with Section 6b, Paragraph 3, Sentence 1 EnWG	33
Independent Auditor's Report	36
Report of the Supervisory Board	45
Publishing Information	55

Forward-Looking Statements

This financial information may contain forward-looking statements based on current assumptions and forecasts made by the management of Covestro AG. Various known and unknown risks, uncertainties, and other factors could lead to material differences between the actual future results, financial situation, development, or performance of the Group and the estimates given here. These factors include those discussed in Covestro's public reports, which are available on the Covestro website at www.covestro.com. The company assumes no liability whatsoever to update such forward-looking statements or to conform them to future events or developments.

STATEMENT OF FINANCIAL POSITION OF COVESTRO AG

Statement of Financial Position of Covestro AG

Assets

	Dec. 31, 2024	Dec. 31, 2025
	€ thousand	€ thousand
Noncurrent assets		
Property, plant and equipment	202	110
Financial assets	1,829,324	1,829,474
	1,829,526	1,829,584
Current assets		
Receivables and other assets		
Trade accounts receivable	1,083	25,131
From affiliated companies	1,064	25,114
Receivables from affiliated companies	4,590,950	5,365,061
Other assets	75,617	56,794
	4,667,650	5,446,986
Deferred charges	8,215	5,966
Excess of plan assets over pension liability	2,625	2,381
	6,508,016	7,284,917

STATEMENT OF FINANCIAL POSITION OF COVESTRO AG

Equity and liabilities

	Dec. 31, 2024	Dec. 31, 2025
	€ thousand	€ thousand
Equity		
Capital stock	189,000	207,900
Treasury shares	(260)	(260)
Issued capital	188,740	207,640
Capital reserves	3,757,197	4,910,097
Other retained earnings	116,992	122,270
Net accumulated losses	(178,628)	(315,519)
	3,884,301	4,924,488
Provisions		
Provisions for pensions	23,782	25,915
Provisions for taxes	50,473	31,669
Other provisions	70,550	23,371
	144,805	80,955
Liabilities		
Bonds	1,500,000	1,500,000
Liabilities to banks	820,898	554,970
Trade accounts payable	22,805	57,546
To affiliated companies	18	644
Liabilities to affiliated companies	80,992	153,681
Other liabilities	54,215	13,277
Tax liabilities	605	1,192
	2,478,910	2,279,474
	6,508,016	7,284,917

INCOME STATEMENT OF COVESTRO AG

Income Statement of Covestro AG

	2024	2025
	€ thousand	€ thousand
Income from investments in affiliated companies	–	–
From affiliated companies	–	–
Income from profit and loss transfer agreements with affiliated companies	50,318	51,522
Expenses from profit and loss transfer agreements with affiliated companies	(77,960)	(149,362)
Income from investments in affiliated companies - net	(27,642)	(97,840)
Income from other investments and loans forming part of the financial assets	2,517	2,538
From affiliated companies	–	–
Other interest and similar income	180,567	110,969
From affiliated companies	178,447	110,969
Income from discounting or unwinding of discounts	2,058	–
Interest and similar expenses	(75,263)	(65,372)
From affiliated companies	(1,401)	(1,321)
Expenses from discounting or unwinding of discounts	4	(1,397)
Interest result	107,821	48,135
Other financial income	332	601
From currency translation	77	490
Other financial expenses	(5,051)	(5,646)
From currency translation	(33)	(569)
Other financial income and expenses	(4,719)	(5,045)
Financial result	75,460	(54,750)
Net sales	22,441	80,589
Cost of services provided	(21,874)	(79,725)
General administration expenses	(104,276)	(68,382)
Other operating income	1,826	2,046
Other operating expenses	(670)	(600)
Operating result	(102,553)	(66,072)
Result of operations	(27,093)	(120,822)
Income taxes	(27,823)	(16,069)
Result after tax/net loss for the year	(54,916)	(136,891)
Accumulated profit carried forward from prior year	(123,712)	(178,628)
Net accumulated losses	(178,628)	(315,519)

NOTES

Basis of Preparation

The financial statements of Covestro AG, Leverkusen (Germany), are prepared in accordance with the provisions of the German Commercial Code (HGB) applicable to large corporations, the German Stock Corporation Act (AktG), and the German Energy Industry Act (EnWG). The company, headquartered in Leverkusen (Germany), is registered in the commercial register of the Local Court of Cologne under register No. HRB 85281. Covestro AG is a vertically integrated energy company within the meaning of Section 3, No. 38 of the EnWG. Direct and indirect subsidiaries of Covestro AG conduct activities involving the supply of energy as well as electricity and gas distribution.

The Income Statement has been prepared using the cost-of-sales method. In order to emphasize Covestro AG's role as a holding company, the aggregated items of the financial result are presented first, and this presentation deviates from the format prescribed in Section 275, Paragraph 3 HGB. In addition, financial income and expenses whose disclosure is not covered by a mandatory item are reported under other financial income and expenses.

There has been a control and profit and loss transfer agreement between Covestro AG and Covestro Deutschland AG, Leverkusen (Germany) since September 1, 2015. All profit not subject to a prohibition on transfer is transferred in full to Covestro AG at the end of the year. Losses are absorbed in full. Other retained earnings recognized during the term of the agreement must be released upon request by Covestro AG and used to compensate a net loss for the year or transferred as profit.

In addition, there is another profit and loss transfer agreement between Covestro First Real Estate GmbH, Leverkusen (Germany), and Covestro AG. The contractual arrangements are identical to those in the existing agreement with Covestro Deutschland AG.

The declaration of conformity to the German Corporate Governance Code (GCGC) pursuant to Section 161 AktG has been issued and made permanently available to shareholders on the internet. It also forms part of the Declaration on Corporate Governance pursuant to Section 289f HGB. It is available for download at **<https://covestro.com/en/investors>**.

In fiscal 2024, following a voluntary takeover offer to the shareholders of Covestro AG, XRG P.J.S.C. (formerly ADNOC International Limited), Abu Dhabi (United Arab Emirates), via its wholly owned indirect subsidiary ADNOC International Germany Holding AG, Munich (Germany), reached the minimum acceptance threshold of 50% plus one Covestro share. On November 21, 2025, the transaction was given foreign trade clearance for Germany, the last regulatory approval required. The voluntary takeover offer to the shareholders of Covestro AG by ADNOC International Germany Holding AG was ultimately completed on December 10, 2025. The ADNOC Group holds 95.1% of the shares of Covestro AG: ADNOC International Germany Holding AG holds 83.4% and XRG P.J.S.C. 11.7% of the shares of Covestro AG. There is no control and profit and loss transfer agreement between Abu Dhabi National Oil Company P.J.S.C., Abu Dhabi (United Arab Emirates), which is wholly owned by the government of the Emirate of Abu Dhabi, and Covestro AG.

Covestro AG is an indirect subsidiary of XRG P.J.S.C. and, together with its direct and indirect subsidiaries, is included in the consolidated financial statements of Abu Dhabi National Oil Company P.J.S.C., Abu Dhabi (United Arab Emirates), which represents the largest consolidation scope.

The subconsolidated financial statements of Covestro AG represent the smallest group of consolidated companies. They are submitted to the operator of the electronic Federal Gazette in Germany and published on the website at **<https://covestro.com/en/investors>**. The Management Report of Covestro AG is combined with the Management Report of the Covestro Group pursuant to Section 315, Paragraph 5 in conjunction with Section 298, Paragraph 2 HGB.

Rounding differences between individual line items may arise due to reporting in thousands of euros.

Accounting Policies and Valuation Principles

Intangible assets

Purchased intangible assets are recognized at cost and amortized on a straight-line basis over their estimated useful lives. Internally generated intangible assets are not recognized as assets. Writedowns are recognized if the impairment is expected to be permanent. There were no intangible assets as of the reporting date.

Property, plant and equipment

Property, plant and equipment are recognized at cost, less ordinary depreciation in the case of depreciable property, plant and equipment. In this context, the straight-line method of depreciation is generally applied. Amortization and depreciation are based on the following useful lives:

Useful life

Operating and office equipment	6 to 12 years
Information technology	5 years

Movable noncurrent assets that are subject to wear and tear and capable of being used independently are depreciated in full in the year of acquisition if their cost does not exceed €800.

Impairment losses are recognized to account for any expected permanent impairment in value in excess of the wear and tear caused by use.

Financial assets

Investments in affiliated companies are recognized at cost, or at the lower fair value if permanent impairment is expected. If impairment losses were recognized in previous years and the reasons for the impairment loss have since ceased to apply in full or in part, the impairment loss is reversed up to a maximum of the original cost.

Receivables and other assets

Receivables and other assets are recognized at their principal amounts, less any value adjustments. Value adjustments are based on the probable risk of default. Global value adjustments of 2% are recognized for general credit risk of third-party customers. Non-interest-bearing or low-interest receivables due after one year are discounted to their present value.

Deferred charges

Deferred charges and deferred income include expenses incurred and income generated prior to the reporting date, which represent expenses and income for a specific period after that date; they are recognized at their nominal amounts. In addition, in application of the option pursuant to Section 250, Paragraph 3 HGB, deferred charges include the difference between the issue and settlement amount of the bonds issued. The differences are amortized over the maturity of the corresponding bond.

Excess of plan assets over obligations

In order to meet various obligations related to pension plans and work-time credits of employees, corresponding funds are primarily invested in liquid international bonds, shares, investment funds, and near-money market products using separate pension-provision investment vehicles. These funds are held in trust for Covestro AG and are exempt from attachment by other creditors in the event that the employer declares insolvency. The investments are measured at fair value, which is derived from share prices and market interest rates. The assets held in trust are offset against the underlying obligations. If there is an excess obligation, a provision is recognized. If the value of the securities exceeds the obligations, the difference is recorded in the Statement of Financial Position under assets as "excess of plan assets over obligations." Income from the trust assets is likewise offset against expenses relating to the interest component of obligations and to changes in the discount rate in the Income Statement, provided that income is available.

NOTES

Deferred taxes

Deferred taxes are recognized for temporary differences between the assets, liabilities, deferred charges, and deferred income recognized in the HGB financial statements and the tax statement. For Covestro AG, this not only includes the differences relating to its own Statement of Financial Position items but also those of tax group subsidiaries. In addition to temporary differences, tax loss carryforwards are also recognized where necessary. Deferred taxes are calculated on the basis of the combined future income tax rate for the tax group of Covestro AG, which is currently 24.93% (previous year: 29.33%). The combined income tax rate includes corporate income tax, trade tax, and the solidarity surcharge. Any resulting overall tax burden would be recognized as a deferred tax liability in the Statement of Financial Position. In the event of tax relief, the option to recognize the deferred tax would not be exercised. In the fiscal year, there was one deferred tax asset that was not recognized.

Deferred taxes arising from the German Minimum Tax Act (MinStG) or similar legislation in other countries are not taken into account pursuant to Section 274 Paragraph 3 HGB, as amended.

Equity

The subscribed capital is recognized at its par value.

Provisions

Provisions for pensions and similar obligations are determined according to actuarial principles, using the projected unit credit method on the basis of biometric probability using the Heubeck 2018 G mortality tables. Expected future salary and pension increases are taken into account when determining the obligations. We assume annual salary increases of 3.00% (previous year: 3.00%). We expect annual pension increases of 2.00% (previous year: 2.00%). However, for pension commitments granted from January 1, 2000, an annual pension increase of 1.00% applies in line with what was promised to employees. The discount rate as of December 31, 2025, used for discounting pension obligations was 2.06% (previous year: 1.90%). This is the average market interest rate over the past 10 years for an assumed remaining term of 15 years calculated and published by Deutsche Bundesbank for December 2025.

The difference resulting from the change in the discount rate for pension obligations as defined by Section 253, Paragraph 2 HGB is generally subject to distribution restrictions pursuant to Section 253, Paragraph 6 HGB. In the fiscal year under review, the difference between the amount of provisions for pensions recognized on the basis of the average market interest rate over the past 10 years (2.06%) and that over the past 7 years (2.22%) was negative, and for this reason no distribution restrictions pursuant to Section 253, Paragraph 6 HGB are applicable.

No provisions are recognized for indirect pension obligations from pension commitments of Bayer Pensionskasse VVaG, Leverkusen (Germany), and Rheinische Pensionskasse VVaG, Leverkusen (Germany), for which an option exists under Article 28, Paragraph 1, Sentence 2 of the Introductory Act to the German Commercial Code (EGHGB) to recognize them as liabilities. Calculation of the net liability that must be disclosed in the notes to the financial statements is based on the same assumptions that are used to measure the pension provisions recognized in the statement of financial position.

Other provisions cover all foreseeable risks and uncertain liabilities. They are measured on the basis of the settlement amount required according to sound business judgment. Future price and cost increases are taken into account as long as there are sufficient objective indications that they will occur. Provisions with a remaining maturity of more than one year are discounted using the average market interest rate over the past seven fiscal years appropriate to their remaining maturities. For long-term personnel-related provisions, such as those for bonuses for long-term service, a rate of 2.22% (previous year: 1.96%) is used for an assumed remaining maturity of 15 years. Shorter-term personnel-related provisions, such as obligations under early retirement agreements, are discounted using a rate appropriate to their maturity. In fiscal 2025, the maturity was three years, and the discount rate was 1.85% (previous year: 1.48%). The interest rates at the time that the respective personnel-related provisions were determined are those expected for December.

Liabilities

Liabilities are recognized at their settlement amount.

NOTES

Translation of foreign currency items

Receivables and liabilities in foreign currencies, forward exchange contracts, and other currency derivatives are recognized according to the limited mark-to-market method. For this purpose, foreign currency receivables and liabilities are measured at the spot rates and the currency derivatives entered into to hedge them are measured at the forward market rates as of the reporting date. According to the net hedge presentation method (Einfrierungsmethode), the effective part of the hedge is not recognized in the financial statements. A provision for impending losses is recognized for net losses; gains are only recognized to the extent that they relate to receivables and liabilities with a maturity of up to one year.

Derivative instruments

There were no derivative financial instruments as of the reporting date.

Contingent liabilities

The disclosed contingent liabilities from sureties and debt guarantees for third-party liabilities correspond to the loan drawdowns and obligations of beneficiaries on the reporting date.

Notes to the Statement of Financial Position

1. Property, Plant and Equipment

Property, plant and equipment

	Operating and office equipment
	€ thousand
Gross carrying amounts as of Jan. 1, 2025	1,059
Additions	–
Retirements	(34)
Gross carrying amounts as of Dec. 31, 2025	1,025
Accumulated depreciation and writedowns as of Jan. 1, 2025	857
Depreciation and writedowns	90
Retirements	(32)
Accumulated depreciation and writedowns as of Dec. 31, 2025	915
Net carrying amounts as of Dec. 31, 2025	110
Net carrying amounts as of Jan. 1, 2025	202

2. Financial Assets

Financial assets

	Investments in affiliated companies	Other loans	Total
	€ thousand	€ thousand	€ thousand
Gross carrying amounts as of Jan. 1, 2025	1,766,024	63,300	1,829,324
Additions	150	–	150
Retirements	–	–	–
Gross carrying amounts as of Dec. 31, 2025	1,766,174	63,300	1,829,474
Accumulated writedowns as of Jan. 1, 2025	–	–	–
Writedowns	–	–	–
Accumulated writedowns as of Dec. 31, 2025	–	–	–
Net carrying amounts as of Dec. 31, 2025	1,766,174	63,300	1,829,474
Net carrying amounts as of Jan. 1, 2025	1,766,024	63,300	1,829,324

During the fiscal year, Covestro AG acquired 100% of the shares of Covestro Beteiligungs-GmbH, Leverkusen (Germany), from Covestro Deutschland AG, Leverkusen (Germany), as part of an intragroup transaction. The acquisition resulted in a €150 thousand increase in financial assets.

In 2015, Covestro AG gave a commitment to Bayer Pensionskasse VVaG, Leverkusen (Germany), to provide, if necessary, a retrospective, repayable initial fund of €208,000 thousand. In addition, in the year 2019, an agreement was entered into with Rheinische Pensionskasse VVaG, Leverkusen (Germany). Under this agreement, Covestro AG undertook to provide, if necessary, a retrospective, repayable initial fund of up to €11,000 thousand. As of the reporting date, the amount drawn down by Bayer Pensionskasse VVaG stood at €60,000 thousand. The amount drawn down by Rheinische Pensionskasse VVaG was €3,300 thousand.

3. Receivables and Other Assets

Receivables from affiliated companies primarily consist of loan receivables amounting to €4,253,000 thousand and cash pool receivables from Covestro Deutschland AG amounting to €1,042,842 thousand. In addition, there is a receivable of €50,956 thousand from Covestro First Real Estate GmbH under the profit and loss transfer agreement.

All receivables and other assets have a maturity of less than one year.

4. Deferred Charges

Prepaid expenses amounted to €5,966 thousand in the fiscal year (previous year: €8,215 thousand). These include differences between the issue price and the settlement price of the bonds issued in the amount of €3,468 thousand (previous year: €4,782 thousand), which are reported as prepaid expenses under the option set out in Section 250, Paragraph 3 HGB.

5. Excess of Plan Assets over Obligations

With the exception of the pension adjustment guarantee of Bayer Pensionskasse, obligations arising from work-time accounts as well as pension commitments are fully or partially covered by assets that were held in trust and invested using separate pension-provision investment vehicles (plan assets). The invested assets may only be used for the purpose of meeting obligations under specifically defined plans and are exempt from attachment by other creditors in the event that the employer becomes insolvent. They were offset against the underlying obligations. This resulted in a total excess of €2,381 thousand as of the reporting date, of which €1,433 thousand was attributable to obligations arising from work-time accounts and €948 thousand to pension commitments.

Excess of plan assets over obligations

	Dec. 31, 2024	Dec. 31, 2025
	€ thousand	€ thousand
Settlement amount of obligations relating to credit balances on employees' work-time accounts	1,242	1,662
Fair value of assets invested	2,818	3,095
Difference between assets and obligations relating to work-time accounts (excess of plan assets)	1,576	1,433
Acquisition cost of assets invested	2,512	2,889

	Dec. 31, 2024	Dec. 31, 2025
	€ thousand	€ thousand
Settlement amount of obligations relating to pension commitments (with asset surplus)	7,290	6,919
Fair value of assets invested	8,339	7,867
Difference between assets and obligations relating to pension commitments (excess of plan assets)	1,049	948
Acquisition cost of assets invested	6,722	6,664

Plan assets are carried at fair value and amounted to €56,165 thousand as of December 31, 2025. Offsetting of plan assets of €10,962 thousand against the underlying obligations resulted in an asset surplus. This item is reported as "excess of plan assets over obligations." The remaining plan assets amounting to €45,203 thousand were offset against the underlying obligations and recognized under pension provisions.

6. Equity

During the fiscal year, equity changed as follows:

Equity

	Jan. 1, 2025	Capital increase	Other adjustments	net loss for the year	Dec. 31, 2025
	€ thousand	€ thousand	€ thousand	€ thousand	€ thousand
Capital stock	189,000	18,900	–	–	207,900
Treasury shares	(260)	–	–	–	(260)
Issued capital	188,740	18,900	–	–	207,640
Capital reserves	3,757,197	1,152,900	–	–	4,910,097
Other retained earnings	116,992	–	5,278	–	122,270
Net accumulated losses	(178,628)	–	–	(136,891)	(315,519)
	3,884,301	1,171,800	5,278	(136,891)	4,924,488

Capital stock

The capital stock of Covestro AG amounts to €207,900,000 (previous year: €189,000,000) and is divided into 207,900,000 (previous year: 189,000,000) no-par-value bearer shares with a nominal value of €1 per share; it is fully paid up.

By partially utilizing the Authorized Capital 2021 created by the Annual General Meeting on April 16, 2021, the Board of Management resolved on November 21, 2025, with the approval of the Supervisory Board on November 25, 2025, to increase the Company's share capital of €189,000,000.00 by €18,900,000.00 to €207,900,000.00 by issuing 18,900,000 new no-par value bearer shares with a proportionate interest in the capital stock of €1 each against cash contributions. Shareholders' legal subscription rights were disapplied with the approval of the Supervisory Board and only ADNOC International Germany Holding AG was authorized to subscribe to the new shares and subsequently subscribed to all new shares. Implementation of the capital increase was entered in the commercial register on December 10, 2025.

The net loss for the year of €136,891 thousand is carried forward to new account.

Capital Reserves

The difference between the nominal value and cost of the treasury shares issued was contributed to capital reserves up to the amount settled for the share buy-back pursuant to Section 272, Paragraph 2, No. 4 HGB. In accordance with Section 272, Paragraph 1b, Sentence 2 et seq. HGB, any difference in excess of that amount was contributed to capital reserves pursuant to Section 272, Paragraph 2, No. 1 HGB.

Other Retained Earnings

The change in other retained earnings resulted from correction of work in process capitalized as part of project costs from prior years.

Authorized Capital

On April 16, 2021, the Annual General Meeting adopted a resolution to create the Authorized Capital 2021 and thereby to authorize the Board of Management, with the consent of the Supervisory Board, to increase the capital stock by up to €57,960,000 by issuing new, no-par value bearer shares against cash and/or noncash contributions in the period through April 15, 2026. The authorization can be used on one or more occasions. The new shares carry dividend rights from the beginning of the fiscal year in which they are issued. However, in contrast to Section 60, Paragraph 2 AktG and to the extent permissible by law, the Board of Management, with the approval of the Supervisory Board, can specify that the new shares will carry dividend rights from the beginning of a prior fiscal year for which, at the time of their issue, the Annual General Meeting had not yet adopted a resolution on the use of the distributable profit. The Board of Management was authorized, with the consent of the Supervisory Board, to set further details of the terms of the capital increase and its implementation.

NOTES

Furthermore, the Board of Management is authorized, with the approval of the Supervisory Board, to disapply subscription rights for capital increases in return for contributions in kind, particularly as part of mergers or the direct (and indirect) acquisition of companies, businesses, divisions of companies, equity interests or other assets, or claims to the acquisition of assets, including receivables in respect of the company or its Group companies.

In the case of capital increases against cash contributions, the new shares must generally be offered to the shareholders for subscription; they can also be underwritten by credit institutions or companies within the meaning of Section 186, Paragraph 5, Sentence 1 AktG with the obligation to offer them for subscription to the shareholders. However, the Board of Management is authorized, with the consent of the Supervisory Board, to disapply the subscription rights of shareholders in the case of cash capital increases where the subscription ratio gives rise to fractional amounts. Subscription rights may also be disappplied to grant holders or creditors of warrants/conversion rights to shares of the company, or equivalent warrant/conversion obligations from bonds issued or guaranteed by Covestro AG or its Group companies, subscription rights to compensate for dilution to the extent to which they would be entitled after exercise of these warrants/conversion rights, or performance of these exercise/conversion obligations.

Moreover, the Board of Management is authorized, with the consent of the Supervisory Board, to disapply the subscription rights of shareholders in the case of cash capital increases if the new shares are issued at a price that is not significantly below the stock market price of the shares of the company already listed. The proportionate interest in the capital stock attributable to the shares issued in accordance with Section 186, Paragraph 3, Sentence 4 AktG against cash contributions while disapplying subscription rights may not exceed 10%. The capital stock used for this calculation is the capital stock on the date this authorization enters into force – or if this amount is lower – at the date this authorization is exercised. The shares to be included in calculating this limit are those that are issued or sold during the term of this authorization up to the date of its exercise by direct or analogous application of this provision. Also included in the limit are shares issued or granted, or to be issued or granted, based on a convertible bond or bond with warrants issued during the term of this authorization while disapplying subscription rights in accordance with Section 186, Paragraph 3, Sentence 4 AktG.

After partial utilization of the Authorized Capital 2021 in the amount of €18,900,000.00, this still amounted to €39,060,000 as of December 31, 2025.

Conditional Capital

The Annual General Meeting on April 17, 2025, additionally adopted resolutions to create the Conditional Capital 2025 and increased the capital stock conditionally by up to €18,900,000. The conditional capital increase will only be performed by issuing up to 18,900,000 no-par-value bearer shares carrying dividend rights from the beginning of their fiscal year of issue to the extent that the holders or creditors of convertible bonds or of warrants from bonds with warrants that are issued based on the authorization of the Board of Management by the Annual General Meeting on April 17, 2025, by Covestro AG or one of its Group companies up to April 16, 2030, exercise their warrant/conversion rights, fulfill their exercise/conversion obligations, or if shares are tendered, and as long as no other forms of fulfillment are used to service these rights. The new shares will be issued at the warrant or conversion price to be determined in accordance with the authorizing resolution referred to above in the bond or warrant terms. The Board of Management is authorized, with the approval of the Supervisory Board, to specify the further details of the capital increase and its execution.

In the event of a capital increase, the profit participation rules applicable to the new shares may be specified in derogation of Section 60 AktG.

The unused Conditional Capital 2020 resolved by the Annual General Meeting on July 30, 2020, was canceled by the resolutions of the Annual General Meeting on April 17, 2025.

The Conditional Capital 2025 has not been utilized to date.

NOTES

Treasury Shares

The portfolio of treasury shares did not change in the fiscal year:

Treasury shares

	2025
	Number of shares
Treasury shares as of Jan. 1, 2025	259,670
Treasury shares as of Dec. 31, 2025	259,670

The 259,670 no-par value shares held by Covestro AG correspond to a nominal amount of €259,670 or 0.1%¹ of the capital stock.

Disclosures on Amounts Subject to Distribution Restrictions within the Meaning of Section 268, Paragraph 8 and Section 253, Paragraph 6 of the HGB

To cover pension obligations and credit balances on employees' work-time accounts, funds have been transferred under contractual trust arrangements to the trust assets of Metzler Trust e.V., earmarked for this purpose, and protected from insolvency. The CTA funds measured at fair value and subject to restrictions on distribution exceeded their acquisition costs of €40,071 thousand by €5,682 thousand, resulting in a restricted amount equal to this difference.

The difference resulting from the change in the discount rate used to discount provisions for pension obligations amounted to €-1,971 thousand. Since the amount is negative, there are no distribution restrictions pursuant to Section 253, Paragraph 6 HGB.

Available reserves amounted to €1,993,717 thousand after deduction of the amounts subject to distribution restrictions.

Disclosures of Shareholdings Notified in Accordance with Section 33, Paragraph 1 of the German Securities Trading Act (WpHG)

During fiscal 2025 and in the previous years, we received the following notifications of shareholdings in Covestro AG pursuant to Section 33, Paragraph 1 WpHG. In cases where shareholdings reached, exceeded, or fell below the thresholds set out in this provision on several occasions and are reportable, only the most recent or last such notification is included:

Entity subject to disclosure requirements	Share of voting rights reached on	Voting rights through shares			Voting rights through instruments		Attribution according to WpHG
		Threshold	in %	absolute	in % ¹	absolute	
BlackRock, Inc., Wilmington, Delaware	10.12.2025	3	0,13	267.226	-	-	Sec. 34
The Goldman Sachs Group, Inc., Wilmington, DE	08.12.2025	5	0,71	1.349.752	2,99	5.667.778	Sec. 34, 38 Para. 1 Nr. 1, 2
UBS Group AG, Zürich	10.12.2025	3	0,02	36.492	0,00	1.776	Sec. 34, 38 Para. 1 Nr. 1
JPMorgan Chase & Co., Wilmington, Delaware	08.12.2025	3	2,11	3.992.905	0,10	189.271	Sec. 34, 38 Para. 1 Nr. 1, 2
Morgan Stanley, Wilmington, Delaware	10.12.2025	3	0,06	118.940	0,01	19.909	Sec. 34, 38 Para. 1 Nr. 1, 2
Barclays PLC, London	15.11.2024	3	2,02	3.816.836	1,92	3.625.365	Sec. 34, 38 Para. 1 Nr. 1, 2
Government of Abu Dhabi, Abu Dhabi ²	10.12.2025	75	95,10	197.718.580	-	-	Sec. 34
Bank of America Corporation,	01.10.2024	3	0,12	219.705	3,21	6.070.195	Sec. 34, 38

¹ In relation to the capital stock as of December 31, 2025: €207,900,000.

NOTES

Entity subject to disclosure requirements	Share of voting rights reached on	Voting rights through shares			Voting rights through instruments		Attribution according to WpHG
		Threshold	in % ¹	absolute	in % ¹	absolute	
Wilmington, DE							Para. 1 Nr. 1, 2
Ministry of Finance on behalf of the State of Norway, Oslo	09.12.2025	3	0,62	1.168.439	0,08	149.464	Sec. 34, 38
T. Rowe Price Group, Inc., Baltimore, Maryland	13.08.2025	3	2,88	5.441.044	–	–	Para. 1 Nr. 1
Allianz Global Investors GmbH, Frankfurt am Main	20.02.2019	3	2,99	5.466.427	0,21	387.546	Sec. 34
							Sec. 34, 38
							Para. 1 Nr. 1, 2

¹ If the threshold was reached on or after December 4, 2018, but prior to October 14, 2020, the share of voting rights is based on the capital stock prior to the capital increase in fiscal 2020, the retirement of shares in fiscal 2023, and the capital increase in 2025.

² of which subsidiaries XRG P.J.S.C. 11.68% and ADNOC International Germany Holding AG 83.43%.

7. Provisions for Pensions

Provisions for pensions cover the benefit obligations for current and past employees. This item also includes obligations under early retirement arrangements.

With the exception of the pension adjustment guarantee of Bayer Pensionskasse, obligations arising from pension commitments are fully or partially covered by assets held in trust and invested using separate pension-provision investment vehicles (plan assets). The invested assets may only be used for the purpose of meeting pension obligations and are exempt from attachment by other creditors. They were offset against the underlying obligations.

Provisions for pensions

	Dec. 31, 2024	Dec. 31, 2025
	€ thousand	€ thousand
Settlement amount of pension commitments	68,621	71,118
Fair value of assets invested	44,839	45,203
Net value of pension commitments (provisions)	23,782	25,915
Acquisition cost of assets invested	38,121	40,116

The difference resulting from the change in the discount rate within the meaning of Section 253, Paragraph 6, Sentence 1 HGB was €–1,971 thousand on December 31, 2025 (previous year: €–787 thousand).

The net liability resulting from unrecognized benefit obligations within the meaning of Article 28, Paragraph 2 EGHGB totals €9,313 thousand (previous year: €9,543 thousand).

8. Provisions for Taxes

The year-over-year decrease in provisions for taxes by a total of €18,804 thousand resulted mainly from the decline in provisions for settling possible tax claims.

9. Other Provisions

Other provisions, which amounted to €23,371 thousand (previous year: €70,550 thousand), were recognized for personnel-related obligations in an amount of €23,221 thousand (previous year: €24,550 thousand).

The decrease was mainly due to the complete utilization of the provision for consulting services in connection with the takeover offer in the amount of €46,000 thousand. In addition, lower expenses in connection with short-term variable compensation (Covestro PSP) led to a decrease in other personnel provisions.

NOTES

10. Bonds

On December 31, 2025, the value of issued bonds amounted to €1,500,000 thousand. They break down as follows:

Bonds

	Par value	Coupon rate	Effective interest rate	Dec. 31, 2025
	€ thousand	in %	in %	€ thousand
DIP bond 2020/2026	500,000	0.875	0.943	500,000
DIP bond 2020/2030	500,000	1.375	1.447	500,000
Green DIP bond 2022/2028	500,000	4.750	4.906	500,000
				1,500,000

11. Liabilities

Liabilities were classified according to maturity as follows:

Maturity structure of liabilities

	Dec. 31, 2024			
	Due in 2025	Due in or after 2026	Thereof due in or after 2030	Total
	€ thousand	€ thousand	€ thousand	€ thousand
Bonds	–	1,500,000	500,000	1,500,000
Liabilities to banks	468,898	352,000	200,000	820,898
Trade accounts payable	22,805	–	–	22,805
Liabilities to affiliated companies	80,992	–	–	80,992
Other liabilities	53,825	390	–	54,215
Total	626,520	1,852,390	700,000	2,478,910

Maturity structure of liabilities

	Dec. 31, 2025			
	Due in 2026	Due in or after 2027	Thereof due in or after 2031	Total
	€ thousand	€ thousand	€ thousand	€ thousand
Bonds	500,000	1,000,000	–	1,500,000
Liabilities to banks	402,970	152,000	–	554,970
Trade accounts payable	57,546	–	–	57,546
Liabilities to affiliated companies	153,681	–	–	153,681
Other liabilities	12,845	432	–	13,277
Total	1,127,042	1,152,432	–	2,279,474

The reduction in liabilities to banks resulted from the scheduled repayment of Schuldschein loans amounting to €239,500 thousand and the repayment of other loans amounting to €225,000 thousand. A new loan liability of €200,000 thousand had an offsetting effect. Some of the existing loan agreements include change-of-control clauses. Where the lenders have not waived formal termination rights based on such clauses, the corresponding liabilities to banks recognized in the balance sheet are reported as current. This relates to liabilities of €400,000 thousand, of which €200,000 thousand was classified as noncurrent in the previous year.

The increase in liabilities to affiliated companies was primarily attributable to higher compensation payments for losses under the profit and loss transfer agreement with Covestro Deutschland AG.

Other liabilities declined mainly because of the full repayment of commercial paper of €39,680 thousand.

Notes to the Income Statement

12. Income from Investments in Affiliated Companies

The loss on investments in affiliated companies of €97,840 thousand (previous year: €27,642 thousand) was attributable to expenses from the control and profit and loss transfer agreement with Covestro Deutschland AG in an amount of €149,362 thousand (previous year: €77,960 thousand) and income from the control and profit and loss transfer agreement with Covestro First Real Estate GmbH in an amount of €51,522 thousand (previous year: €50,318 thousand).

13. Interest Result

The interest result contained expenses relating to the bonds of €34,896 thousand (previous year: €41,430 thousand) issued in fiscal years 2016, 2020, and 2022. In addition, the interest result contained expenses for interest on external loan liabilities of €28,777 thousand (previous year: €28,104 thousand) and interest income of €110,969 thousand (previous year: €178,447 thousand) from loans granted to Covestro Deutschland AG. The interest result also included interest income of €2,538 thousand (previous year: €2,517 thousand) from initial funding loans granted to Bayer Pensionskasse VVaG and Rheinische Pensionskasse VVaG.

The accumulated amount from allocating interest cost to pension provisions and from the change in the actuarial interest rate resulted in income of €609 thousand (previous year: expense of €369 thousand) in the interest result. In addition, the interest result included losses on the investment of assets by Metzler Trust e. V., Frankfurt am Main (Germany), amounting to €1,871 thousand (previous year: Gain of €2,314 thousand).

14. Other Financial Income and Expenses

Other financial income and expenses comprised bank fees totaling €4,638 thousand (previous year: €4,964 thousand). These included fees for providing the company lines of credit and the prorated reversal of the discount on the bonds issued.

In addition, income and expenses from foreign currency translation were also reported in this item.

15. Net Sales

Sales include income from services rendered by the Corporate Center divisions of Covestro AG for Covestro Group companies. Of the €80,589 thousand (previous year: €22,441 thousand) reported, sales to foreign Group companies accounted for €6,923 thousand (8.59%) (previous year: €1,016 thousand). Expenses incurred for providing the services rendered by the Corporate Center divisions are disclosed under cost of services provided.

The rise in sales was mainly attributable to intragroup transfers of costs amounting to €51,866 thousand incurred as part of the global STRONG transformation program. Expenses incurred for providing the services are recognized under cost of services provided.

16. General Administration Expenses

General administration expenses totaling €68,382 thousand (previous year: €104,276 thousand) mainly consisted of personnel expenses for the employees of the Group holding company and members of the Board of Management. General administration expenses went down in fiscal 2025, primarily due to lower expenses for consultancy services. In addition, there was a reduction in expenses for the annual incentive program (Covestro Profit Sharing Plan) and for the Prisma long-term variable compensation.

17. Other Operating Income

Overall, other operating income included income relating to other accounting periods amounting to €2,044 thousand (previous year: €1,818 thousand). Of this amount, €513 thousand (previous year: €1,639 thousand) related to the reversal of personnel-related provisions.

18. Income Taxes

Income tax expenses encompass corporate income tax, trade tax, the solidarity surcharge, and income taxes paid outside Germany.

The tax expense did not include deferred taxes. As of December 31, 2025, Covestro AG expected total future tax relief of €283,853 thousand (previous year: €346,927 thousand) from temporary differences, relating both to itself and to companies within the tax group. This was calculated on the basis of a combined future income tax rate of 24.93% (previous year: 29.33%).

Deferred tax liabilities resulted primarily from special tax items in connection with real estate assets and from valuation differences in connection with unrealized gains on foreign currency translation. Deferred tax assets mainly resulted from the higher recognition of pension obligations in the commercial financial statements compared to their tax measurement. Deferred tax assets also resulted from provisions for impending losses and for pre-retirement leave, which are not eligible for recognition in the tax financial statements. Other reasons for deferred tax assets included measurement differences, including for noncurrent assets, provisions for early retirement arrangements, long-term accounts, and anniversary obligations. Deferred tax assets from loss and interest carryforwards were not included, as it is not expected that losses can be utilized in the next five years. Overall, deferred tax liabilities were more than offset by deferred tax assets. The option provided in Section 274, Paragraph 1, Sentence 2 HGB was exercised for the total resulting tax relief and no deferred tax assets were recognized.

Covestro AG falls within the scope of the German Minimum Tax Act (MinStG), which entered into force on January 1, 2024. Effective December 10, 2025, the group parent company is ADNOC International Germany Holding AG, Munich (Germany), as the ultimate parent company in Germany. The ultimate parent company of the global minimum tax group is Abu Dhabi National Oil Company (ADNOC) P.J.S.C., Abu Dhabi (United Arab Emirates). Covestro calculates a tax increase amount for the German minimum tax group for each country in the amount of the difference between the effective tax rate pursuant to Section 53, Paragraph 1 of the German Minimum Tax Act (MinStG) and a minimum tax rate of 15%. With the exception of companies in Switzerland, all Group companies are subject to a nominal tax rate of over 15%. Even if the nominal tax rate is more than 15%, the new legislation could theoretically result in a tax expense due to the MinStG. Covestro AG regularly reviews the impact of global minimum taxation legislation in the relevant countries. As of December 31, 2025, there was no obligation to pay increased tax for the German minimum tax group.

19. Other Taxes

Where other taxes could be allocated to general administration expenses, they are recognized there. Otherwise, they are included under other operating expenses. Other taxes totaled €1 thousand (previous year: €1 thousand).

NOTES

20. Cost of Materials

Cost of materials

	2025
	€ thousand
Cost of raw materials, consumables and supplies, and of purchased merchandise	16
Cost of purchased services	–
	16

21. Personnel Expenses/Employees

Personnel expenses

	2025
	€ thousand
Wages and salaries	34,859
Social expenses and expenses for pensions and other benefits	6,588
thereof pension expenses	5,147
	41,447

Personnel expenses do not include the interest cost allocated to personnel-related provisions, in particular to provisions for pensions, which are shown in the interest result.

On average, Covestro AG had 149 employees in the reporting year. They break down as follows:

Employees

	2025	
	Women	Men
Senior executives and senior managers	27	68
Junior managers and nonmanagerial employees	30	24
	57	92

Within the group of employees in vocational training and interns, Covestro AG employed an average of one employee in fiscal 2025.

These figures include part-time employees on a prorated basis.

Other Information

22. Contingent Liabilities

Liabilities arising from debt guarantees and sureties amounted to €116,982 thousand. These were issued exclusively in favor of Group companies. To our knowledge, the companies concerned are able to meet the underlying obligations. The risk of utilization is considered low.

Debt guarantees and sureties

	Principal amount
	€ thousand
Covestro LLC, Pittsburgh, Pennsylvania (USA)	
Principal amount \$46,756 thousand, due in 2027	39,769
Principal amount \$14.629 thousand, due upon contract performance	12,443
LyondellBasell Covestro Manufacturing Maasvlakte V.O.F, Rotterdam (Netherlands)	
Due in 2031	25,000
Covestro Deutschland AG, Leverkusen (Germany)	
Due upon contract performance	16,670
Open-ended	2,597
Due in 2026	68
Principal amount \$10 thousand, due in 2026	9
Covestro, S.L., Barcelona (Spain)	
Open-ended	7,143
Due in 2031	5,000
Covestro S.r.l., Filago (Italy)	
Due in 2026	543
Due in 2027	4,594
Due in 2029	4
Covestro NV, Antwerpen (Belgium)	
Open-ended	1,766
Due in 2027	8
Due in 2033	34
Covestro Elastomers, Romans-sur-Isère (France)	
Due in 2026	371
Solar Coating Solutions B.V., Geleen (Netherlands)	
Open-ended	139
Covestro (Netherlands) B.V., Geleen (Netherlands)	
Due six months after contract termination	76
Open-ended	158
Due in 2034	350
Covestro (Slovakia) Services s.r.o., Bratislava (Slovakia)	
Due in 2027	240
	116,982

In connection with the contribution, indemnification, and post-formation agreement between Bayer AG and Covestro AG, arrangements were made to settle possible claims for taxes, which may result in corresponding liabilities.

23. Other Financial Commitments

In addition to provisions, liabilities, and contingent liabilities, Covestro AG has other financial commitments.

Effective September 1, 2015, Bayer Pensionskasse VVaG, Leverkusen (Germany), and Covestro AG agreed to include Covestro AG as an additional guarantor in the initial fund previously agreed with Bayer AG. The purpose of the initial fund is to provide Bayer Pensionskasse VVaG with repayable, interest-bearing loans if necessary. Covestro AG has undertaken to provide a maximum of €208,000 thousand to the initial fund. As of the reporting date, the amount drawn down by Bayer Pensionskasse VVaG stood at €60,000 thousand and there is a further obligation to make a contribution of €148,000 thousand.

Effective August 1, 2019, Rheinische Pensionskasse VVaG, Leverkusen (Germany), and Covestro AG agreed to include Covestro AG as an additional guarantor in the initial fund previously agreed with Bayer AG. The purpose of the initial fund is to provide Rheinische Pensionskasse VVaG with repayable, interest-bearing loans if necessary. Covestro AG has undertaken to provide a maximum of €11,000 thousand to the initial fund. Following a contribution of €3,300 thousand in the year 2022, Covestro AG has a further obligation to make a contribution of €7,700 thousand.

The loans to the initial fund bear interest, which is payable only if contractually agreed conditions are met. Payment of interest must be deferred, if and to the extent it would cause the pension fund to incur a net loss for the year.

Future lease and rent payments resulted in obligations totaling €507 thousand. Of the total lease obligations, €127 thousand is due in the year 2026 and €380 thousand in the years from 2027 to 2029.

24. Related Party Disclosures

Related parties within the meaning of Section 285, No. 21 HGB are legal or natural persons who can exert at least significant influence on Covestro AG and its subsidiaries or who are subject to at least significant influence by Covestro AG or its subsidiaries. Related parties also include all subsidiaries in which Covestro AG holds less than 100% of the shares, joint ventures, and associates, as well as pension plans.

Covestro AG primarily provides rental, service, and financing transactions to related parties.

Sales and Purchases of Goods and Services to/from Related Parties

	Sales of goods and services	Purchase of goods and services
	€ thousand	€ thousand
Subsidiaries (< 100% shareholding)	10	–

In December 2025, Covestro AG implemented a capital increase by issuing 18,900,000 new no-par value shares at €62.00 each. The shares were issued exclusively to ADNOC International Germany Holding AG, Munich (Germany), whereby shareholder subscription rights were disappplied. The issue volume was €1.17 billion.

For more information on the loans to the initial funds, which were partially drawn down by Bayer Pensionskasse VVaG, Leverkusen (Germany), and Rheinische Pensionskasse VVaG, Leverkusen (Germany), please refer to the section on other financial commitments.

25. Total Compensation of the Board of Management and Supervisory Board, and Advances and Loans Granted

The compensation of the members of the Board of Management in fiscal 2025 consisted of the following:

Total compensation of the Board of Management

	Board of Management members in office	
	2024	2025
	€ thousand	€ thousand
Fixed annual compensation	3,452	3,613
Fringe benefits	67	329
Short-term variable compensation	1,368	–
Long-term variable compensation ¹	3,939	4,278
Aggregate compensation	8,826	8,220
Pension service cost ²	1,667	1,670

¹ Fair value when granted.

² Including company contribution to Bayer Pensionskasse VVaG and Rheinischen Pensionskasse VVaG.

→ The individual compensation of the members of the Board of Management is explained in Covestro AG's compensation report, which forms part of the Annual Report.

Maximum Compensation

Pursuant to Section 87a, Paragraph 1, Sentence 2, No. 1 AktG, the Supervisory Board for the first time defined a maximum total compensation for the Board of Management members for fiscal 2021. The absolute amount in euros for the maximum possible payout includes fixed compensation, fringe benefits (e.g., mobility allowance, payments toward the cost of security equipment, etc.), capped variable compensation components, and pension expenses. As a result, the maximum total compensation for a full fiscal year for the Chair of the Board of Management amounts to €9.0 million, while this amount for the regular Board of Management members is €5.5 million.

Compensation consists of a non-performance-related component, an annual incentive, the Covestro Profit Sharing Plan (Covestro PSP), and long-term variable compensation under the Prisma program.

Non-Performance-Related Compensation

Non-performance-related compensation comprises the fixed annual compensation, which reflects the responsibilities and performance of the Board of Management members, along with fringe benefits. The members of the Board of Management also receive pension entitlements for themselves and their surviving dependents.

Short-Term Variable Compensation

The target value of the short-term variable compensation is currently 100% of the fixed annual compensation. The award is based on the four criteria of profitable growth, liquidity, profitability, and sustainability, which are used as part of Covestro's management system to plan, manage, control, and report on business performance. This means that short-term variable compensation is directly linked to the company's success. The Covestro Profit Sharing Plan (Covestro PSP) has been expanded, effective from fiscal 2025. In addition to the four performance metrics already used, for which the targets are derived from the medium-term planning for the years 2025 to 2027, a short-term component has been defined. This is based on the EBITDA target of a single fiscal year and is specified for the subsequent year by the Supervisory Board on the basis of the forecast made in the fourth quarter. For the purpose of calculating the total payout, the medium- and short-term components are each weighted at 50%. The four components are taken into account on an equally weighted basis for the medium-term component: Profitable growth measured in terms of EBITDA (earnings before interest, taxes, depreciation and amortization), liquidity measured in terms of free operating cash flow (FOCF), profitability measured in terms of return on capital employed (ROCE) above the weighted average cost of capital (WACC), and sustainability measured in terms of selected environmental, social, and governance (ESG) criteria. Since the year 2025, the sustainability component has been determined by direct and indirect Scope 1 and Scope 2 greenhouse gas (GHG) emissions (CO₂ equivalents) of all environmentally relevant sites.

NOTES

For each individual performance indicator, the payout can be between 0% (failure to meet minimum requirements) and 300%. The total payout from the medium-term component is the arithmetic mean of the individual payouts for all four components. However, it is limited to 250% of the target value. This means that, if the cost of capital is not earned in a given fiscal year (ROCE above WACC < 0), no payout is made at all from the medium-term component, irrespective of the results achieved for the other metrics.

An EBITDA target of €1,300,000 thousand has been specified for the short-term component for fiscal 2025. The minimum amount to be reached for a payout is €1,000,000 thousand, while the payout is limited to 200% for EBITDA of €1,800,000 thousand or more. Between these values, linear interpolation is used to determine the payout from the short-term component.

Long-Term Variable Compensation

Up to and including the 2024–2027 tranche, the Prisma share-based compensation program for long-term variable compensation (long-term incentive, LTI) took into account the performance of Covestro shares, including dividends (total shareholder return) and outperformance against the STOXX Europe 600 Chemicals index over a period of four years. As from fiscal 2024, the sustainability component, which has included a CO₂ factor since its inception and has been part of the LTI plan since the year 2021, was expanded by adding two metrics from the ESG "Social" aspect. Against the backdrop of the voluntary public takeover offer by ADNOC International Germany Holding AG, Munich (Germany), the share price, and therefore also total shareholder return and outperformance, no longer seemed suitable metrics for long-term compensation. For this reason, the share-based portion of long-term compensation was replaced by economic value added as a metric from 2025 onward. The sustainability component with its three parts (GHG emissions, participation rate, and recordable incident rate) will be retained unchanged.

The members of the Board of Management are eligible to participate in the Prisma compensation program as long as they are employed by the Covestro Group. This program is based on a target opportunity set at 130% of the fixed annual compensation.

Various factors are calculated to determine the payout; their values are based on target attainments for the respective metrics: the TSR factor and the outperformance factor (before fiscal 2025), the CVA factor (from fiscal 2025 onward) as well as elements of the sustainability component (the CO₂ factor, the participation factor, and the RIR factor). They are explained in detail below.

The total shareholder return (TSR) factor is the return generated by a stock expressed as a percentage (total of the final price of the Covestro share and all dividends distributed per share during the four-year performance period divided by the initial price).

The outperformance factor is based on the performance of Covestro shares during the performance period relative to the performance of the STOXX Europe 600 Chemicals index.

Against the backdrop of the takeover offer, the share price as well as the price change in relation to the STOXX Europe 600 Chemicals index no longer reflect the long-term changes in the company's value. For this reason, the price of Covestro shares has been fixed at the offer price of €62 and the STOXX Europe 600 Chemicals has been set at the closing level of the 2021–2024 tranche (average of the trading days in November and December 2024).

Covestro value added (CVA) is a key financial performance indicator based on economic value added (EVA). It measures whether the company generates a return in excess of the capital charge. It is calculated by deducting taxes from EBIT to determine operating profit after taxes. Subsequently the capital charge is deducted, which is determined by multiplying the average capital employed (which is the total of current and noncurrent operating assets less non-interest bearing liabilities) by the weighted average cost of capital (WACC).

The CVA factor will be 100%, if Covestro generates CVA of €110,000 thousand in the year 2028. For CVA of €–440,000 thousand or less, the CVA factor is 0%. If CVA is €990,000 thousand or more in the year 2028, the factor will reach the maximum of 300%. Between these values, linear interpolation is used to determine the factor.

Starting with the tranche issued in fiscal 2025, a reduction target for annual greenhouse gas (GHG) emissions (CO₂ equivalents) classified in Scope 1 and Scope 2 emissions at all environmentally relevant sites will be applied as part of the sustainability component. The CO₂ factor amounts to 100% if these emissions are reduced by

NOTES

1,850 kilotons (kt) by the end of fiscal 2028 in relation to the baseline year of 2020. This corresponds to an emissions reduction of just over 33%. If annual emissions are reduced by 1,300 kt or less, the CO₂ factor is 0%. Starting with a reduction of 2,400 kt, it reaches the maximum value of 200%. Between these defined reference values, linear interpolation is used to determine the factor. The Supervisory Board considers the defined reduction targets as significant in relation to the company's actual Scope 1 and Scope 2 emissions.

The metric used for the participation factor is the aggregated participation rate of all employees worldwide from all rounds of the employee survey conducted during the last calendar year of the performance period. The aim of including this "Social" aspect in the sustainability component is to create an incentive for senior executives entitled to take part in the long-term incentive program to make the employee survey a regular part of their management activities and to explain to employees how important their feedback and criticism are for us. For the tranche beginning in fiscal 2025, the participation factor is 100%, if an aggregated participation rate of 82% is achieved. If the aggregated participation rate achieved is 77% or less, the participation factor is 0%. For an aggregated participation rate of 87% and higher, it reaches the maximum of 200%. Between these values, linear interpolation is used to determine the factor.

To boost our well developed safety culture even further, another metric under the "Social" aspect that will be used as a basis for assessment is the global recordable incident rate (RIR). The target is an incident rate of 0.27 in the last year of the performance period. This rate measures the number of recordable incidents against the hours worked by all employees and contractor employees of the Covestro Group worldwide. If this target is reached, the RIR factor is 100%. If the recordable incident rate is 0, the factor reaches the maximum value of 200%. For an incident rate of 0.54 or higher, the RIR factor is 0%. Between these values, linear interpolation is used to determine the factor.

To calculate the total distribution for the tranches beginning before fiscal 2024, which include only the CO₂ factor for the sustainability component, the LTI target opportunity is multiplied by the TSR factor as well as the total of the outperformance factor weighted at 75% and the CO₂ factor weighted at 25%. The total distribution is limited to no more than 200% of the target opportunity.

Starting from the 2025–2028 tranche, there will be no multiplication by the TSR factor so that the total payout will be the total of the CVA factor weighted at 70% and the three sustainability factors (CO₂ factor, participation factor, and RIR factor), each weighted at 10%. This means that the sustainability targets will continue to be weighted at 30% in total as compared to financial performance. The total distribution is limited to no more than 250% of the target opportunity. With the target opportunity being defined as 130% of the fixed compensation, the maximum payout is therefore 325% of the fixed annual compensation.

Expenses for pension commitments of €1,670 thousand were incurred for those members of the Board of Management who were in the service to the company during the reporting year. These included the current service cost for pension commitments and company contributions to Bayer Pensionskasse VVaG and Rheinische Pensionskasse VVaG. The settlement amount for direct and indirect pension obligations for members of the Board of Management in service was €10,380 thousand as of the reporting date. The settlement amount for direct and indirect pension obligations for former members of the Board of Management was €15,288 thousand.

Total compensation for the Supervisory Board for the reporting year was €2,378 thousand. This includes attendance fees of €104 thousand.

There were no advances or loans to members of the Board of Management or the Supervisory Board outstanding as of December 31, 2025. No loans were repaid in the reporting year.

NOTES

26. Governance Bodies

Board of Management¹

Name	Position	Areas of responsibility	Memberships ²
Dr. Markus Steilemann	Chief Executive Officer	• Communications • Corporate Audit • Human Resources • Strategy	• Member of the Supervisory Board of Fuchs SE ³
		• Group Innovation & Sustainability	
Christian Baier	Chief Financial Officer ⁴	• Accounting • Controlling • Finance & Insurance • Information Technology & Digitalization • Investor Relations • Law, Intellectual Property & Compliance • Portfolio Development	• Member of the Supervisory Board of TUI AG ³
		• Taxes	
Monique Buch	Chief Commercial Officer (since August 2025) ⁵	• Tailored Urethanes • Coatings & Adhesives • Engineering Plastics • Specialty Films • Elastomers • Thermoplastic Polyurethanes	
		• Supply Chain & Logistics EMLA, NA, APAC	
Dr. Thorsten Dreier	Chief Technology Officer Labor Director	• Engineering • Process Technology • Group Health, Safety and Environment and Reliability • Group Procurement	
		• Performance Materials	
Sucheta Govil	Chief Commercial Officer (until July 2025)	• Tailored Urethanes • Coatings & Adhesives • Engineering Plastics • Specialty Films • Elastomers • Thermoplastic Polyurethanes	• Member of the Board of Directors of Mondi plc ³
		• Supply Chain & Logistics EMLA, NA, APAC	

¹ As at December 31, 2025.

² Memberships of supervisory boards and memberships of comparable supervising bodies of German or foreign corporations.

³ Listed.

⁴ The Chief Financial Officer (CFO) is also responsible for country-specific topics in the United States and China.

⁵ Monique Buch was appointed as a new member of the Board of Management as of June 1, 2025 and succeeded Sucheta Govil as Chief Commercial Officer (CCO) as of August 1, 2025.

NOTES

Supervisory Board¹

Name/function	Membership on the Supervisory Board	Position	Memberships ²
Dr. Rainer Seele (Chair)	Member of the Supervisory Board since December 2025	• President, Global Chemicals, XRG P.J.S.C.	• Member of the Supervisory Board of Covestro Deutschland AG^{4, 5} (since December 2025) • Member of the Board of Directors, BAPCO Upstream W.L.L.⁴, Bahrain • Chairman of the Board of Directors, Borouge PTE LTD⁴, Singapore • Member of the Board of Directors, Fertiglobe PLC³, United Arab Emirates (ADNOC Group) • Chairman of the Advisory Board, Susta Sustainable Merchandise Handels GmbH⁴, Austria • Member of the Advisory Board⁴, Dream Security Ltd., Israel
Mercedes Alonso Benito	Member of the Supervisory Board since December 2025	• Senior Director, Speciality Chemicals Asset Management, XRG P.J.S.C.	• Member of the Supervisory Board of Covestro Deutschland AG^{4, 5} (since December 2025) • Member of the Board of Directors, Borouge PTE LTD⁴, Singapore • Independent Board Director, Alterra Energy LLC⁴, USA • Independent Board Director, Huhtamaki OJ³, Finland
Dr. Christine Bortenlänger	Member of the Supervisory Board since October 2015	• Member of various supervisory boards	• Member of the Supervisory Board of Covestro Deutschland AG^{4, 5} • Member of the Supervisory Board of MTU Aero Engines AG³ • Member of the Supervisory Board of TÜV SÜD AG⁴ • Member of the Supervisory Board of Siemens Energy AG³ (until February 2025) • Member of the Supervisory Board of Siemens Energy Management GmbH⁴ (Siemens Energy group) (until February 2025)
Dr. Christoph Gürtler	Member of the Supervisory Board since April 2022	• Chair of the Managerial Employees' Committees of Covestro Deutschland AG and of Covestro group • Managerial Employee of Covestro Deutschland AG	• Member of the Supervisory Board of Covestro Deutschland AG^{4, 5}
Oliver Heinrich	Member of the Supervisory Board since May 2024	• Member of the Executive Board of IGBCE	• Member of the Supervisory Board of Covestro Deutschland AG^{4, 5} • Vice Chair of the Supervisory Board of Mitteldeutsche Braunkohlegesellschaft⁴ (Mibrag) • Vice Chair of LEAG GmbH⁴ (since June 2025) • Vice Chair of the Supervisory Board of Lausitz Energie Bergbau AG⁴ (LEAG) • Vice Chair of the Supervisory Board of CHEMIE Pensionsfonds AG⁴
Guy Janssens	Member of the Supervisory Board since December 2025	• Group Chief Financial Controller, Abu Dhabi National Oil Company (ADNOC) P.J.S.C	• Member of the Supervisory Board of Covestro Deutschland AG^{4, 5} (since December 2025) • Member of the Board of Directors, ADNOC Global Trading Ltd⁴, United Arab Emirates (ADNOC Group) • Member of the Board of Directors, ADNOC Trading Ltd⁴, United Arab Emirates (ADNOC Group)

NOTES

Supervisory Board¹

Name/function	Membership on the Supervisory Board	Position	Memberships ²
Lise Kingo	Member of the Supervisory Board from April 2021 until December 2025	• Member of various supervisory boards, governing bodies and committees	• Member of the Supervisory Board of Covestro Deutschland AG^{4, 5} (until December 2025) • Independent Board Director of Danone SA³, France • Independent Board Director of Sanofi SA³, France • Independent Director Euler Hermes SA (Allianz Trade)⁴, Belgium
Irena Küstner	Member of the Supervisory Board since October 2015	• Chair of the Works Council of Covestro at the Leverkusen site • Chair of the Group Works Council of Covestro • Vice Chair of the General Works Council of Covestro • Employee of Covestro Deutschland AG	• Member of the Supervisory Board of Covestro Deutschland AG^{4, 5}
Frank Löllgen (Vice Chair)	Member of the Supervisory Board since April 2022	• North Rhine District Secretary of the German Mining, Chemical and Energy Industrial Union (IGBCE), Düsseldorf	• Member of the Supervisory Board of Covestro Deutschland AG^{4, 5} • Member of the Supervisory Board of Bayer AG³
Dr. Richard Pott (Former Chair)	Member of the Supervisory Board from August 2015 until December 2025	• Member of various supervisory boards	• Chair of the Supervisory Board of Covestro Deutschland AG^{4, 5} (until December 2025) • Member of the Supervisory Board of Freudenberg SE⁴
Khaled Salmeen	Member of the Supervisory Board since December 2025	• Chief Executive Officer, Downstream Industry, Marketing & Trading, Abu Dhabi National Oil Company (ADNOC) P.J.S.C.	• Member of the Supervisory Board of Covestro Deutschland AG^{4, 5} (since December 2025) • Member of the Supervisory Board, OMV AG³, Austria • Vice Chairperson of the Board of Directors, ADNOC Gas PLC³, United Arab Emirates (ADNOC Group) • Vice Chairperson of the Board of Directors, ADNOC Logistics & Services PLC³, United Arab Emirates (ADNOC Group) • Member of the Board of Directors, Abu Dhabi National Oil Company for Distribution P.J.S.C.³, United Arab Emirates (ADNOC Group) • Member of the Board of Directors, ADNOC International Investments RSC LTD⁴, United Arab Emirates (ADNOC Group) • Member of the Board of Directors, Borouge PLC³, United Arab Emirates (ADNOC Group) • Member of the Board of Directors, Fertiglobe PLC³, United Arab Emirates (ADNOC Group) • Member of the Board of Directors, ADNOC Global Trading Ltd.⁴, United Arab Emirates (ADNOC Group)

NOTES

Supervisory Board¹

Name/function	Membership on the Supervisory Board	Position	Memberships ²
			• Member of the Supervisory Board of Covestro Deutschland AG ^{4,5} (until September 2025) • Member of the Board of Directors of Holcim AG³, Switzerland (since May 2025) • Member of the Supervisory Board of Infineon Technologies Austria AG⁴, Austria (Infineon group) • Member of the Board of Directors, Infineon Technologies China Co., Ltd.⁴, China (Infineon group) • Member of the Board of Directors, Infineon Technologies Asia Pacific Pte., Ltd.⁴, Singapore (Infineon group) • Member of the Board of Directors, Infineon Technologies Americas Corp.⁴, USA (Infineon group) • Member of the Board of Directors, Infineon Technologies Japan K.K.⁴, Japan (Infineon group)
Dr. Sven Schneider	Member of the Supervisory Board from April 2022 until September 2025	• Chief Financial Officer at Infineon Technologies AG	
		• Member of the General Works Council of Covestro • Member of the Covestro European Forum • Chair of the Works Council of Covestro at the Uerdingen site • Employee of Covestro Deutschland AG	• Member of the Supervisory Board of Covestro Deutschland AG ^{4,5} (since February 2025)
Kerstin Spendel	Member of the Supervisory Board since February 2025		
	Member of the Supervisory Board from October 2015 until December 2025	• Member of various supervisory boards	• Member of the Supervisory Board of Covestro Deutschland AG^{4,5} (until December 2025) • Director of SPIE SA³, France • Member of the Supervisory Board of SPIE Deutschland und Zentraleuropa GmbH⁴ (SPIE group)
Regine Stachelhaus		• Member of the General Works Council of Covestro • Member of Covestro-European Forum • Chair of the Works Council of Covestro at the Brunsbüttel site • Employee of Covestro Deutschland AG	
Marc Stothfang	Member of the Supervisory Board since February 2017		• Member of the Supervisory Board of Covestro Deutschland AG^{4,5} • Non-Executive Director (Chair) of Johnson Matthey plc³, United Kingdom • Non-Executive Director of Akzo Nobel N.V.³, Netherlands (until April 2025)
Patrick Thomas	Member of the Supervisory Board since July 2020	• Member of various supervisory boards	

¹ As of December 31, 2025, for members stepping down during the fiscal year, the information relates to the leaving date.

² Memberships of other supervisory boards and memberships of comparable supervising bodies of German or foreign corporations.

³ Listed.

⁴ Non-listed.

⁵ Covestro Group membership.

NOTES

27. Auditor's Fees

The total fee charged by the auditor for the reporting year within the meaning of Section 285, No. 17 HGB is broken down into auditing services and other assurance services, as presented in the corresponding note to the consolidated financial statements.

This information is not published here pursuant to the exemption clause in Section 285, No. 17 HGB for companies included in the parent company's consolidated financial statements.

The fees for the auditing of financial statements for fiscal 2025 specified there mainly comprise those for the statutory audit of the consolidated financial statements and the single-entity financial statements of Covestro AG and its subsidiaries in Germany.

The fees for other assurance services for fiscal 2025 include in particular the review of interim financial information, audit procedures in connection with the acquisition by XRG P.J.S.C, Abu Dhabi (United Arab Emirates), and the audit of sustainability information.

28. Disclosures Pursuant to Section 6b, Paragraph 2 of the German Energy Industry Act (EnWG)

There were no transactions in connection with energy-specific services of material relevance to the net assets and results of operations of Covestro AG requiring disclosure pursuant to Section 6b, Paragraph 2 EnWG.

29. List of Shareholdings

Covestro AG directly or indirectly holds shares in the following companies (disclosures pursuant to Section 285, No. 11 HGB). The amounts stated for equity and net income or loss for the year relate to the amounts from the annual financial statements prepared in accordance with national law as of December 31, 2025; all amounts are rounded:

List of shareholdings

Company name	Place of business	Equity interest	Equity	Net income/loss	Footnote(s)
		%	€ thousand	€ thousand	
EMLA					
Covestro (France)	Fos-sur-Mer (France)	100.0	20,116	6,694	2
Covestro (Netherlands) B.V.	Geleen (Netherlands)	100.0	2,295,915	(203,389)	2
Covestro (Slovakia) Services s.r.o.	Bratislava (Slovakia)	100.0	3,340	901	2
Covestro Amulix V.o.F.	Zwolle (Netherlands)	72.0	(625)	277	2
Covestro Bio-Based Coatings B.V.	Zwolle (Netherlands)	100.0	445	3	2
Covestro Brunsbüttel Energie GmbH	Brunsbüttel (Germany)	100.0	77	909	1, 2
Covestro Deutschland AG	Leverkusen (Germany)	100.0	1,782,686	(149,362)	1, 2
Covestro Elastomers	Romans-sur-Isère (France)	100.0	47,748	10,332	2
Covestro First Real Estate GmbH	Leverkusen (Germany)	100.0	58,015	50,956	1, 2
Covestro Indústria e Comércio de Polímeros Ltda.	São Paulo (Brazil)	100.0	24,825	3,126	2

NOTES

List of shareholdings

Company name	Place of business	Equity interest	Equity	Net income/loss	Footnote(s)
		%	€ thousand	€ thousand	
Covestro International SA	Fribourg (Switzerland)	100.0	(1,121)	(1,111)	2
Covestro Invest GmbH	Leverkusen (Germany)	100.0	2,191	51	1, 2
Covestro Middle East FZ-LLC	Dubai (United Arab Emirates)	100.0	396	169	2
Covestro Niaga B.V.	Zwolle (Netherlands)	100.0	(64,868)	(2,027)	2
Covestro NV	Antwerp (Belgium)	100.0	361,944	32,013	2
Covestro Polimer Anonim Şirketi	Istanbul (Turkey)	100.0	369	217	2
Covestro Resins China Holding B.V.	Zwolle (Netherlands)	100.0	3,070	1	2
Covestro S.r.l.	Filago (Italy)	100.0	113,287	20,124	2
Covestro, S.L.	Barcelona (Spain)	100.0	172,841	754	2
Covestro Second Real Estate GmbH	Leverkusen (Germany)	100.0	90,774	23,408	1, 2
Covestro sp. z o.o.	Warsaw (Poland)	100.0	457	63	2
Covestro Vermittlung GmbH	Leverkusen (Germany)	100.0	832	(228)	1, 2
Covestro UK Limited	Cheadle Hulme (United Kingdom)	100.0	4,482	1,071	2
Covestro Beteiligungs-GmbH	Leverkusen (Germany)	100.0	154	(2)	2
Covestro Films GmbH	Walsrode (Germany)	100.0	14,465	14,410	1, 2
LyondellBasell Covestro Manufacturing Maasvlakte V.O.F	Rotterdam (Netherlands)	50.0	(88,453)	(230,458)	2
MS Global AG in Liquidation	Köniz (Switzerland)	100.0	7,165	(30)	2
Paltough Industries (1998) Ltd.	Kibbutz Ramat Yohanan (Israel)	25.0	140,241	(7,531)	2
Solar Coating Solutions B.V.	Zwolle (Netherlands)	100.0	(17,447)	(3,959)	2
Pontacol GmbH	Buxtehude (Germany)	100.0	2,714	(986)	2
Pontacol AG	Schmitten (Switzerland)	100.0	28,727	(266)	2
NA					
Covestro International Re, Inc.	South Burlington, Vermont (USA)	100.0	86,628	(35,627)	2
Covestro International Trade Services Corp.	Wilmington, Delaware (USA)	100.0	2,405	23,592	2
Covestro LLC	Pittsburgh, Pennsylvania (USA)	100.0	1,375,745	(57,083)	2
Covestro PO LLC	Pittsburgh, Pennsylvania (USA)	100.0	276,087	81,304	2
Covestro, S.A. de C.V.	Mexico City (Mexico)	100.0	88,992	7,179	2
PO JV, LP	Houston, Texas (USA)	39.4	320,575	(27,394)	2
Technology JV, LP	Houston, Texas (USA)	33.3	264,944	(292,567)	1, 2
Pontacol Inc.	Dover, Delaware (USA)	100.0	254	67	2

NOTES

List of shareholdings

Company name	Place of business	Equity interest	Equity	Net income/loss	Footnote(s)
		%	€ thousand	€ thousand	
APAC					
Asellion (Shanghai) Information Technology Co., Ltd.	Shanghai (China)	100.0	152	(48)	2
Covestro (Hong Kong) Limited	Hong Kong (Special Administration Region, China)	100.0	27,953	27,091	2
Covestro (India) Private Limited	Navi Mumbai (India)	100.0	101,838	4,210	3
Covestro (Shanghai) Investment Company Limited	Shanghai (China)	100.0	640,580	300,625	2
Covestro (Taiwan) Ltd.	Taipei (Taiwan, Greater China)	97.4	36,768	(14,262)	2
Covestro (Thailand) Co., Ltd.	Bangkok (Thailand)	100.0	523,096	24,354	2
Covestro (Viet Nam) Company Limited	Ho Chi Minh City (Vietnam)	100.0	3,374	258	2
Covestro Eternal Resins (Far East) Ltd.	Pingtung (Taiwan, Greater China)	60.0	10,011	2,206	2
Covestro Eternal Resins (Kunshan) Co., Ltd.	Kunshan (China)	50.0	18,015	1,096	2
Covestro Far East (Hong Kong) Limited	Hong Kong (Special Administration Region, China)	100.0	255	78,912	2
Covestro Invest (Far East) Company Limited	Hong Kong (Special Administration Region, China)	100.0	12,457	(7)	2
Covestro Japan Ltd.	Tokyo (Japan)	100.0	19,904	1,571	2
Covestro Korea Corporation	Seoul (South Korea)	100.0	5,881	558	2
Covestro Material Science and Technology (Shanghai) Company Limited	Shanghai (China)	100.0	(7,137)	(123)	2
Covestro Polymers (China) Company Limited	Shanghai (China)	100.0	1,652,015	83,803	2
Covestro Polymers (Qingdao) Company Limited	Qingdao (China)	100.0	5,656	(550)	2
Covestro Polymers (Shenzhen) Co., Ltd.	Shenzhen (China)	100.0	10,810	468	2
Covestro Polymers (Zhuhai) Company Limited	Zhuhai (China)	100.0	15,152	(5,318)	2
Covestro Pty Ltd	Mulgrave (Australia)	100.0	6,125	399	2
Covestro Resins (Foshan) Company Ltd.	Foshan (China)	100.0	29,547	(138)	2
Covestro Resins (Shanghai) Co., Ltd.	Shanghai (China)	100.0	(1,153)	(49)	2
DIC Covestro Polymer Ltd.	Tokyo (Japan)	80.0	11,195	1,067	2
Guangzhou Covestro Polymers Company Limited	Guangzhou (China)	100.0	31,490	4,120	2
Japan Fine Coatings Co., Ltd.	Ibaraki (Japan)	100.0	11,875	4,240	2
PT Covestro Polymers Indonesia	Jakarta (Indonesia)	99.9	30,650	1,435	2
Sumika Covestro Urethane Company, Ltd.	Hyogo (Japan)	60.0	(6,182)	(818)	2

¹ Profit/loss prior to profit and loss transfer

² Preliminary net income/loss for the year

³ Annual financial statements for the period ended March 31, 2025

30. Events after the End of the Reporting Period

XRG P.J.S.C., Abu Dhabi (United Arab Emirates), informed Covestro AG, Leverkusen (Germany), on January 9, 2026 that the Annual General Meeting of Covestro AG was to resolve the transfer of the shares of non-controlling shareholders to XRG P.J.S.C. against the granting of appropriate cash compensation in accordance with Section 327a Paragraph 1 Sentence 1 AktG (squeeze-out under stock corporation law). XRG P.J.S.C. thus initiated the process for transferring the shares of the non-controlling shareholders of Covestro AG to XRG P.J.S.C.

31. Proposal for the Appropriation of Distributable Profit

The annual financial statements of Covestro AG report net accumulated losses of €315,519 thousand. This net loss is carried forward to new account. For this reason, a proposal for the appropriation of the distributable profit by the Board of Management is not required.

Leverkusen, February 20, 2026
Covestro AG
The Board of Management

Dr. Markus Steilemann
(Chair)

Christian Baier

Monique Buch

Dr. Thorsten Dreier

Responsibility Statement

To the best of our knowledge, and in accordance with applicable reporting principles for financial reporting, the Annual Financial Statements give a true and fair view of the net assets, financial position, and results of operations of Covestro AG, and the Management Report, which has been combined with the Management Report of the Covestro Group, includes a fair review of the development and performance of the business and the position of the Covestro Group and Covestro AG, together with a description of the material opportunities and risks associated with the expected development of the Covestro Group and Covestro AG.

Leverkusen, February 20, 2026
Covestro AG
The Board of Management

Dr. Markus Steilemann
(Chair)

Christian Baier

Monique Buch

Dr. Thorsten Dreier

Activity-Based Financial Statements for Activities in Accordance with Section 6b, Paragraph 3, Sentence 1 EnWG

Covestro AG is a vertically integrated energy company within the meaning of Section 3, No. 38 EnWG. According to the determinations made by Ruling Chambers 8 and 9 (BK8-19/00002-A and BK9-19/613-1) of the German Federal Network Agency (Bundesnetzagentur, BNetzA) in 2019 in conjunction with Section 6b, Paragraph 3 EnWG, Covestro AG as a vertically integrated energy company must maintain separate accounts for each of its activities in the areas of electricity distribution and gas distribution to avoid discrimination and cross-subsidization in its internal accounting. In addition, Covestro AG is obligated to prepare and have audited by an auditor activity-based financial statements in accordance with Section 6b, Paragraph 3, Sentence 6 in conjunction with Paragraph 1, Sentence 1 EnWG according to the provisions of the HGB applicable to corporations for energy-specific services relating to the activities of electricity or gas distribution provided to affiliated, vertically integrated companies.

As the Group parent company, Covestro AG provides various services to Group companies in Germany and abroad. These include energy-specific services performed for the subsidiary Covestro Brunsbüttel Energie GmbH in the area of administration.

Covestro Brunsbüttel Energie GmbH, with its registered office in Brunsbüttel (Germany), in its capacity as owner of the power and gas grid at the Covestro Brunsbüttel Industrial Park supplies electricity and gas to customers in the industrial park. This therefore constitutes a group of affiliated electricity/gas companies within the meaning of Section 6b EnWG.

In compliance with the provisions of the EnWG, Covestro AG prepared activity-based financial statements for the following:

- Electricity distribution (hereinafter "power grid")
- Gas distribution (hereinafter "gas grid")

In accordance with the aforementioned determinations by the German Federal Network Agency, services were identified for purposes of preparing the activity-based financial statements that are classified as directly or indirectly energy-specific and therefore attributable to power grid or gas grid activities performed by the service provider.

The activity-based financial statements each include an income statement. In fiscal 2025, no assets or provisions were attributed to power grid or gas grid activities in connection with the performance of energy-specific services. Furthermore, no energy-specific receivables or liabilities were recognized as of December 31, 2025. For this reason, no statement of provisions or statement of financial position is required.

The activity-based financial statements in accordance with Section 6b, Paragraph 3 EnWG were derived from the Annual Financial Statements of Covestro AG for the period ended December 31, 2025.

The accounting policies and valuation principles for the individual activities correspond to those applied to the Annual Financial Statements of Covestro AG.

No contingent liabilities or other financial commitments required to be reported in accordance with Section 268, Paragraph 7 and Section 285, No. 3a HGB relate to power or gas grid activities.

The activity-based financial statements for power and gas grid activities below are presented in thousands of euros in the same way as in the Statement of Financial Position, the Income Statement, and the Notes.

ACTIVITY-BASED FINANCIAL STATEMENTS

Income Statement – Power Grid

	2024	2025
	€ thousand	€ thousand
Net sales	2	2
Cost of services provided	(2)	(2)
Gross profit	–	–
Operating result	–	–
Expenses from profit transfer/income from loss absorption	–	–
Net income/net loss for the year	–	–

Income Statement – Gas Grid

	2024	2025
	€ thousand	€ thousand
Net sales	1	1
Cost of services provided	(1)	(1)
Gross profit	–	–
Operating result	–	–
Expenses from profit transfer/income from loss absorption	–	–
Net income/net loss for the year	–	–

Preparation of the Statement of Financial Position and Income Statement

The assets/liabilities and income/expenses were attributed directly to the activities to the greatest extent possible, except in cases where the effort required would have been unjustifiable. In these cases, suitable and appropriate allocation methods were determined to assign energy-specific services to the activities to which they belong. The allocation rules according to which the Income Statement items were attributed to the activities are described below:

Preparation of Income Statement

Net sales	Cost of services allocation
Cost of services provided	Cost of services allocation

Cost of Services Allocation

The method for allocating the cost of energy-specific services provided by Covestro AG was determined by taking into account the cost of services directly attributable to the activities at the level of Covestro Brunsbüttel Energie GmbH.

ACTIVITY-BASED FINANCIAL STATEMENTS

Leverkusen, February 20, 2026
Covestro AG
The Board of Management

Dr. Markus Steilemann
(Chair)

Christian Baier

Monique Buch

Dr. Thorsten Dreier

Independent Auditor's Report

To Covestro AG, Leverkusen

Report on the Audit of the Annual Financial Statements and of the Combined Management Report

Opinions

We have audited the annual financial statements of Covestro AG, Leverkusen, which comprise the statement of financial position as of December 31, 2025, and the income statement for the financial year from January 1 to December 31, 2025, and notes to the financial statements, including the recognition and measurement policies presented therein. In addition, we have audited the management report of the Company and the Group (hereinafter the "combined management report") of Covestro AG for the financial year from January 1 to December 31, 2025.

In accordance with German legal requirements, we have not audited the content of those components of the combined management report specified in the "Other Information" section of our auditor's report.

The combined management report contains cross-references that are not provided for by law and which are marked as unaudited. In accordance with German legal requirements, we have not audited the cross-references and the information to which the cross-references refer.

In our opinion, on the basis of the knowledge obtained in the audit,

- the accompanying annual financial statements comply, in all material respects, with the requirements of German commercial law applicable to business corporations and give a true and fair view of the assets, liabilities and financial position of the Company as of December 31, 2025, and of its financial performance for the financial year from January 1 to December 31, 2025, in compliance with German legally required accounting principles,

and

- the accompanying combined management report as a whole provides an appropriate view of the Company's position. In all material respects, this combined management report is consistent with the annual financial statements, complies with German legal requirements and appropriately presents the opportunities and risks of future development. Our opinion on the combined management report does not cover the content of those components of the combined management report specified in the "Other Information" section of the auditor's report. The combined management report contains cross-references that are not provided for by law and which are marked as unaudited. Our audit opinion does not extend to the cross-references and the information to which the cross-references refer.

Pursuant to Section 322 (3) sentence 1 HGB [Handelsgesetzbuch: German Commercial Code], we declare that our audit has not led to any reservations relating to the legal compliance of the annual financial statements and of the combined management report.

Basis for the Opinions

We conducted our audit of the annual financial statements and of the combined management report in accordance with Section 317 HGB and the EU Audit Regulation No 537/2014 (referred to subsequently as "EU Audit Regulation") and in compliance with German Generally Accepted Standards for Financial Statement Audits promulgated by the Institut der Wirtschaftsprüfer [Institute of Public Auditors in Germany] (IDW). Our responsibilities under those requirements and principles are further described in the "Auditor's Responsibilities for the Audit of the Annual Financial Statements and of the Combined Management Report" section of our auditor's report. We are independent of the Company in accordance with the requirements of European law and German commercial and professional law, and we have fulfilled our other German professional responsibilities in accordance with these requirements. In addition, in accordance with Article 10 (2)(f) of the EU Audit Regulation, we declare that we have not provided non-

INDEPENDENT AUDITOR'S REPORT

audit services prohibited under Article 5 (1) of the EU Audit Regulation. We believe that the evidence we have obtained is sufficient and appropriate to provide a basis for our opinions on the annual financial statements and on the combined management report.

Key Audit Matters in the Audit of the Annual Financial Statements

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the annual financial statements for the financial year from January 1 to December 31, 2025. These matters were addressed in the context of our audit of the annual financial statements as a whole, and in forming our opinion thereon, we do not provide a separate opinion on these matters.

Recoverability of investments in affiliated companies

Please refer to "Accounting policies and valuation principles" in the notes to the financial statements for more information on the accounting policies applied. For comments on the assets, liabilities, financial position and financial performance of Covestro AG, please refer to the section of the same name in the combined management report.

THE FINANCIAL STATEMENT RISK

In the annual financial statements of Covestro AG as of December 31, 2025, financial assets include (among other things) investments in affiliated companies in the amount of EUR 1,766 million. The investments in affiliated companies account for 24% of total assets and thus have a material influence on the Company's net assets.

Financial assets are recognized at cost or, if they are expected to be permanently impaired, written down to fair value. The Company calculates the fair value of the investments in affiliated companies using the discounted cash flow method.

The cash flows used for the discounted cash flow method are based on individual projections for each investment, which are extrapolated beyond the detailed planning period based on assumptions of long-term growth rates. The respective discount rate is derived from the return on a risk-adjusted alternative investment. If the fair value is lower than the carrying amount, qualitative and quantitative criteria are used to examine whether the impairment is expected to be permanent.

The impairment testing including the calculation of the fair value in line with the discounted cash flow method is complex and the assumptions made depend to a high degree on assessments and judgments of the Company. These include the expected business and earnings performance as well as the investment spending of the respective investments over the planning horizon, the assumed long-term growth rates and the determination of the discount rates.

Due to the continued challenging economic conditions, the business outlook has deteriorated further compared to the prior year. The Company did not recognize any impairment losses on financial assets in financial year 2025. There is a risk for the annual financial statements that financial assets are impaired.

OUR AUDIT APPROACH

First, we obtained an understanding of the Company's process for impairment testing of financial assets through explanations provided by accounting staff with the involvement of the controlling function, as well as an assessment of the Company's documentation. In doing so, we examined the Company's approach to determining the need to recognize impairment and, based on the information obtained during our audit, assessed whether there were any indications of impairment that had not been identified by the Company.

With the involvement of our valuation experts, we then assessed the appropriateness of the significant assumptions and the valuation method used by the Company for the impairment testing of direct and indirect investments. To this end, we discussed the expected business and earnings performance, the investment spending as well as the assumed long-term growth rates with those responsible for planning. Furthermore, we took external market assessments into account in our assessment of appropriateness.

We also confirmed the accuracy of the Company's previous forecasts by comparing the budgets of previous financial years with actual results and by analyzing deviations.

We compared the assumptions and data underlying the discount rate, especially the risk-free rate, the market risk premium and the beta factor, with our own assumptions and publicly available data.

In order to take account of forecast uncertainty, we also examined the impact of potential changes in the discount rate, expected cash flows and the long-term growth rate on fair value by calculating alternative scenarios and comparing these with the Company's measurements (sensitivity analysis). We verified the Company's calculations to ensure the computational accuracy of the valuation method used.

OUR OBSERVATIONS

The approach used for impairment testing of investments in affiliated companies is appropriate and in line with the applicable accounting policies. The Company's assumptions and data used for measurement are within an acceptable range and are appropriate.

Other Information

The Board of Management and/or the Supervisory Board are/is responsible for the other information. The other information comprises the following components of the combined management report, whose content was not audited:

- the Group's sustainability report, including the Group's non-financial statement pursuant to Sections 315b and 315c HGB, contained in the combined management report, and
- the combined declaration on corporate governance of the Company and the Group, which is contained in the "Declaration on Corporate Governance" section of the combined management report.

Our opinions on the annual financial statements and on the combined management report do not cover the other information, and consequently we do not express an opinion or any other form of assurance conclusion thereon.

In connection with our audit, our responsibility is to read the other information and, in so doing, to consider whether the other information

- is materially inconsistent with the annual financial statements, with the combined management report information audited for content or our knowledge obtained in the audit, or
- otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Board of Management and the Supervisory Board for the Annual Financial Statements and the Combined Management Report

The Board of Management is responsible for the preparation of the annual financial statements that comply, in all material respects, with the requirements of German commercial law applicable to business corporations, and that the annual financial statements give a true and fair view of the assets, liabilities, financial position and financial performance of the Company in compliance with German legally required accounting principles. In addition, the Board of Management is responsible for such internal control as they, in accordance with German legally required accounting principles, have determined necessary to enable the preparation of annual financial statements that are free from material misstatement, whether due to fraud (i.e., fraudulent financial reporting and misappropriation of assets) or error.

In preparing the annual financial statements, the Board of Management is responsible for assessing the Company's ability to continue as a going concern. They also have the responsibility for disclosing, as applicable, matters related to going concern. In addition, they are responsible for financial reporting based on the going concern basis of accounting, provided no actual or legal circumstances conflict therewith.

Furthermore, the Board of Management is responsible for the preparation of the combined management report that as a whole provides an appropriate view of the Company's position and is, in all material respects, consistent with the annual financial statements, complies with German legal requirements and appropriately presents the opportunities and risks of future development. In addition, the Board of Management is responsible for such arrangements and measures (systems) as they have considered necessary to enable the preparation of a combined management report that is in accordance with the applicable German legal requirements, and to be able to provide sufficient appropriate evidence for the assertions in the combined management report.

The Supervisory Board is responsible for overseeing the Company's financial reporting process for the preparation of the annual financial statements and of the combined management report.

Auditor's Responsibilities for the Audit of the Annual Financial Statements and of the Combined Management Report

Our objectives are to obtain reasonable assurance about whether the annual financial statements as a whole are free from material misstatement, whether due to fraud or error, and whether the combined management report as a whole provides an appropriate view of the Company's position and, in all material respects, is consistent with the annual financial statements and the knowledge obtained in the audit, complies with the German legal requirements and appropriately presents the opportunities and risks of future development, as well as to issue an auditor's report that includes our opinions on the annual financial statements and on the combined management report.

Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with Section 317 HGB and the EU Audit Regulation and in compliance with German Generally Accepted Standards for Financial Statement Audits promulgated by the Institut der Wirtschaftsprüfer (IDW) will always detect a material misstatement. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these annual financial statements and this combined management report.

INDEPENDENT AUDITOR'S REPORT

We exercise professional judgment and maintain professional skepticism throughout the audit.

We also:

- Identify and assess the risks of material misstatement of the annual financial statements and of the combined management report, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinions. The risk of not detecting a material misstatement resulting from fraud is higher than the risk of not detecting a material misstatement resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls.
- Obtain an understanding of internal control relevant to the audit of the annual financial statements and of arrangements and measures relevant to the audit of the combined management report in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control or of these arrangements and measures.
- Evaluate the appropriateness of accounting policies used by the Board of Management and the reasonableness of estimates made by the Board of Management and related disclosures.
- Conclude on the appropriateness of the Board of Management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in the auditor's report to the related disclosures in the annual financial statements and in the combined management report or, if such disclosures are inadequate, to modify our respective opinions. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to be able to continue as a going concern.
- Evaluate the overall presentation, structure and content of the annual financial statements, including the disclosures, and whether the annual financial statements present the underlying transactions and events in a manner that the annual financial statements give a true and fair view of the assets, liabilities, financial position and financial performance of the Company in compliance with German legally required accounting principles.
- Evaluate the consistency of the combined management report with the annual financial statements, its conformity with [German] law, and the view of the Company's position it provides.
- Perform audit procedures on the prospective information presented by the Board of Management in the combined management report. On the basis of sufficient appropriate audit evidence we evaluate, in particular, the significant assumptions used by the Board of Management as a basis for the prospective information, and evaluate the proper derivation of the prospective information from these assumptions. We do not express a separate opinion on the prospective information and on the assumptions used as a basis. There is a substantial unavoidable risk that future events will differ materially from the prospective information.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with the relevant independence requirements, and communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, the actions taken or safeguards applied to eliminate independence threats.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the annual financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter.

Other Legal and Regulatory Requirements

Report on the Assurance of Compliance with Accounting Requirements in accordance with Section 6b (3) EnWG

Opinions

We have examined whether the Company has complied with its obligations in accordance with Section 6b (3) sentences 1 to 5 EnWG [Energiewirtschaftsgesetz: German Energy Industry Act] regarding the maintenance of separate accounts for the financial year from January 1 to December 31, 2025. We have also examined the financial statements for individual activities for electricity distribution and gas distribution activities in accordance with Section 6b (3) sentence 1 EnWG – comprising in each case the income statement for the financial year from January 1 to December 31, 2025, including the disclosures on the accounting methods used for the preparation of the activity reports, which are attached as an appendix.

- In our opinion, the requirements in accordance with Section 6b (3) sentences 1 to 5 EnWG to maintain separate accounts were satisfied in all material respects.
- In our opinion, based on the findings of our work, the accompanying financial statements for individual activities comply, in all material respects, with the requirements of Section 6b (3) sentences 5 to 7 EnWG.

Basis for the Opinions

We conducted our assurance work on compliance with the obligations regarding the separation of accounts and of financial statements for individual activities in accordance with Section 6b (5) EnWG and the IDW Assurance Standard "Assurance pursuant to Section 6b of the German Energy Act" (IDW AsS 610 as amended (07.2021)). Our responsibilities under these requirements and principles are further described in the "Auditor's Responsibilities for the Assurance Work on Compliance with the Accounting Obligations in accordance with Section 6b (3) EnWG" section. We are independent of the Company in accordance with the requirements of German commercial and professional law, and we have fulfilled our other German professional responsibilities in accordance with these requirements. As an audit firm, we apply the IDW Standard on Quality Management Standard 1: Requirements for Quality Management in Audit Firms (IDW QMS 1 (09.2022)). We believe that the evidence we have obtained is sufficient and appropriate to provide a basis for our opinions on the compliance of the accounting requirements in accordance with Section 6b (3) EnWG.

Responsibilities of the Board of Management and the Supervisory Board for Compliance with the Accounting Obligations in accordance with Section 6b (3) EnWG

The Board of Management is responsible for compliance with the requirements in accordance with Section 6b (3) sentences 1 to 5 EnWG regarding the maintenance of separate accounts. The Board of Management is also responsible for the preparation of the financial statements for individual activities in accordance with Section 6b (3) sentences 5 to 7 EnWG.

In addition, the Board of Management is responsible for the internal controls that they have considered necessary to comply with the obligations regarding the maintenance of separate accounts.

The Board of Management's responsibility for the financial statements for individual activities corresponds to the responsibility described in the section "Responsibilities of the Board of Management and the Supervisory Board for the Annual Financial Statements and the Combined Management Report" with regard to the annual financial statements, with the exception that the respective financial statement for individual activities does not need to give a true and fair view of assets, liabilities, financial position and financial performance of the Company's activities in accordance with German legally required accounting principles.

The Supervisory Board is responsible for monitoring the Company's compliance with the accounting obligations in accordance with Section 6b (3) EnWG.

Responsibilities of the Auditor for the Assurance Work on Compliance with Accounting Obligations in accordance with Section 6b (3) EnWG

Our objectives are to obtain reasonable assurance about,

- whether the Board of Management has complied, in all material respects, with their obligations under Section 6b (3) sentences 1 to 5 EnWG to maintain separate accounts, and
- whether the accompanying financial statements for individual activities comply, in all material respects, with the requirements of Section 6b (3) sentences 5 to 7 EnWG.

Further, our objectives include the incorporation of a report in the independent auditor's report that includes our opinions on compliance with the accounting obligations in accordance with Section 6b (3) EnWG.

The assurance work on compliance with the obligations in accordance with Section 6b (3) sentences 1 to 5 EnWG regarding the maintenance of separate accounts includes an assessment of whether the assignment of accounts to activities according to Section 6b (3) sentences 1 to 4 EnWG is appropriate and comprehensible, and whether the consistency principle has been observed.

Our responsibility for the examination of the financial statements for individual activities corresponds to that described in the section "Auditor's Responsibilities for the Audit of the Annual Financial Statements and of the Combined Management Report" with respect to the annual financial statements, with the exception that we are unable to undertake an assessment of the overall fair presentation of the respective financial statements for individual activities.

Report on the Assurance on the Electronic Rendering of the Annual Financial Statements and the Combined Management Report Prepared for Publication Purposes in Accordance with Section 317 (3a) HGB

Assurance opinion

We have performed assurance work in accordance with Section 317 (3a) HGB to obtain reasonable assurance about whether the rendering of the annual financial statements and the combined management report (hereinafter the "ESEF documents") contained in the electronic file „Covestro JA+KLB_2025_12_31.zip" (SHA256 hash value: 4bdc9d12a8392abcb9e3fd329929ae545f36106e6d77512b991becc2f85e9d5b) made available and prepared for publication purposes complies in all material respects with the requirements of Section 328 (1) HGB for the electronic reporting format ("ESEF format"). In accordance with German legal requirements, this assurance work extends only to the conversion of the information contained in the annual financial statements and the combined management report into the ESEF format and therefore relates neither to the information contained within these renderings nor to any other information contained in the file identified above.

In our opinion, the rendering of the annual financial statements and the combined management report contained in the electronic file made available identified above and prepared for publication purposes complies in all material respects with the requirements of Section 328 (1) HGB for the electronic reporting format. Beyond this assurance opinion and our audit opinion on the accompanying annual financial statements and the accompanying combined management report for the financial year from January 1 to December 31, 2025, contained in the "Report on the Audit of the Annual Financial Statements and of the Combined Management Report" above, we do not express any assurance opinion on the information contained within these renderings or on the other information contained in the file identified above.

Basis for the Assurance Opinion

We conducted our assurance work on the rendering of the annual financial statements and the combined management report, contained in the file made available and identified above in accordance with Section 317 (3a) HGB and the IDW Assurance Standard: Assurance Work on the Electronic Rendering of Financial Statements and Management Reports Prepared for Publication Purposes in Accordance with Section 317 (3a) HGB (IDW AsS 410 (06.2022)). Our responsibility in accordance therewith is further described in the "Auditor's responsibilities for the assurance work on the ESEF documents" section. Our audit firm applies the IDW Standard on Quality Management 1: Requirements for Quality Management in Audit Firms (IDW QMS 1 (09.2022)).

Responsibilities of the Board of Management and the Supervisory Board for the ESEF documents

The Company's Board of Management is responsible for the preparation of the ESEF documents including the electronic renderings of the annual financial statements and the combined management report in accordance with Section 328 (1) sentence 4 item 1 HGB.

In addition, the Company's Board of Management is responsible for such internal control as they have considered necessary to enable the preparation of ESEF documents that are free from material intentional or unintentional non-compliance with the requirements of Section 328 (1) HGB for the electronic reporting format.

The Supervisory Board is responsible for overseeing the process of preparing the ESEF documents as part of the financial reporting process.

Auditor's Responsibilities for the Assurance Work on the ESEF Documents

Our objective is to obtain reasonable assurance about whether the ESEF documents are free from material intentional or unintentional non-compliance with the requirements of Section 328 (1) HGB. We exercise professional judgment and maintain professional skepticism throughout the assurance work. We also:

- Identify and assess the risks of material intentional or unintentional non-compliance with the requirements of Section 328 (1) HGB, design and perform assurance procedures responsive to those risks, and obtain assurance evidence that is sufficient and appropriate to provide a basis for our assurance opinion.
- Obtain an understanding of internal control relevant to the assurance on the ESEF documents in order to design assurance procedures that are appropriate in the circumstances, but not for the purpose of expressing an assurance opinion on the effectiveness of these controls.
- Evaluate the technical validity of the ESEF documents, i.e. whether the file made available containing the ESEF documents meets the requirements of Commission Delegated Regulation (EU) 2019/815, as amended as of the reporting date, on the technical specification for this electronic file.
- Evaluate whether the ESEF documents provide an XHTML rendering with content equivalent to the audited annual financial statements and the audited combined management report.

Further information pursuant to Article 10 of the EU Audit Regulation

We were elected as auditor at the Annual General Meeting on April 17, 2025. We were engaged by the Audit Committee of the Supervisory Board on September 23, 2025. We have been the auditor of Covestro AG without interruption since financial year 2018.

We declare that the opinions expressed in this auditor's report are consistent with the additional report to the Audit Committee pursuant to Article 11 of the EU Audit Regulation (long-form audit report).

Other Matter – Use of the Auditor's Report

Our auditor's report must always be read together with the audited annual financial statements and the audited combined management report as well as the examined ESEF documents. The annual financial statements and the combined management report converted into ESEF format – including the versions to be entered in the German Company Register [Unternehmensregister] – are merely electronic renderings of the audited annual financial statements and the audited combined management report and do not take their place. In particular, the ESEF report and our assurance opinion contained therein are to be used solely together with the examined ESEF documents provided in electronic form.

German Public Auditor Responsible for the Engagement

The German Public Auditor responsible for the engagement is Dr. Kathryn Ackermann.

Essen, February 23, 2026

KPMG AG
Wirtschaftsprüfungsgesellschaft
[Original German version signed by:]

Ufer
Wirtschaftsprüfer
[German Public Auditor]

Dr. Ackermann
Wirtschaftsprüferin
[German Public Auditor]

Report of the Supervisory Board

Dear Shareholders,

Covestro continued to face an extremely challenging environment in the tenth year of its existence. The year 2025 was once again marked by weak economic activity in key customer industries of our company as well as sometimes persistent unfavorable structural conditions and unprecedented geopolitical upheavals.

Covestro countered this very difficult overall situation by continuing its actions to increase efficiency and make cost savings. We believe that we are on a successful path to meeting the targets we have set ourselves for the year 2028. In addition to optimizing processes and structures, we have driven a narrower focus of our project portfolio as well as improvements in production. Central to this were an increase in the reliability and safety of our facilities as well as transitioning them to non-fossil raw materials and energies according to circular economic principles as the key vision of our company.

On the other hand, Covestro continued to align its product range with circular, climate-neutral materials and solutions in the firm belief that sustainability will continue to be a megatrend with considerable business opportunities in the long term. At K 2025, the world's largest plastics trade show, our company underscored this by presenting impressive innovations for areas such as mobility, electronics, and healthcare.

The Supervisory Board has supported this approach and remains convinced that Covestro has considerable potential for a successful future – all the more so since the partnership with XRG² was finally sealed toward the end of the year. As a result, the composition of the Supervisory Board underwent a few changes. The body has identified considerable opportunities for Covestro in the constellation with XRG, especially in view of the objective to establish a global platform for performance materials and specialty chemicals with the new partner.

During the reporting period, the Supervisory Board of Covestro AG performed its duties with due care in accordance with the law, the Articles of Incorporation, and the rules of procedure. During fiscal 2025, it monitored the conduct of the company's business by the Board of Management with regular frequency based on detailed written and oral reports received from the Board of Management, and also acted in an advisory capacity. The discussions between the Supervisory Board and Board of Management were always constructive and were conducted in the spirit of openness and trust.

The Supervisory Board Chair (Dr. Richard Pott until December 19, 2025, Dr. Rainer Seele since December 20, 2025) was in regular contact with the Board of Management outside of Supervisory Board meetings and remained informed about current developments in the company's business performance and material transactions. In addition, the Chair of the Supervisory Board was in close contact with the Chair of the Board of Management to discuss important questions and decisions one on one. The full Supervisory Board was informed in detail about the content of these discussions no later than during the next meeting.

In this way, the Supervisory Board was kept regularly and fully informed in the respective meetings about the company's intended business strategy, corporate planning (including financial, investment, and human resources planning), profitability, the state of the business, and the situation of the company and the Group (including the risk situation, risk management, and the compliance situation). Where Board of Management decisions or actions required the approval of the Supervisory Board during the reporting period, whether by law, or under the Articles of Incorporation or the rules of procedure, the draft resolutions were inspected and discussed in detail by the members of the Supervisory Board at its meetings, sometimes after preparatory work by the responsible committees, or approved in writing on the basis of documents circulated to the members. The Supervisory Board was always directly involved in decisions of material importance to the company. It discussed in detail the business trends described in the reports from the Board of Management and the prospects for the development of the Covestro

² XRG P.J.S.C. (formerly ADNOC International Limited) indirectly holds all the shares of ADNOC International Germany Holding AG, which was the bidder in the takeover offer for the shares of Covestro AG. To simplify, in the following as well as in other sections of the Annual Report, the name "XRG" is used to refer generally to the ADNOC/XRG Group or to some of its companies.

REPORT OF THE SUPERVISORY BOARD

Group as a whole, the individual segments, and the regions. The Supervisory Board continually ensured that the actions of the Board of Management were lawful, due and proper, and appropriate.

Meetings of the Full Supervisory Board and Member Attendance

In fiscal year 2025, the Supervisory Board held a total of seven meetings, all of which were also attended by at least one member of the Board of Management, except where issues were discussed that required them to be absent. In addition, the various committees of the Supervisory Board convened a total of 13 meetings.

The regular Supervisory Board meetings were held physically, while the extraordinary meeting (November 25, 2025) convened at short notice was held by video conference. Most of the committee meetings were held as video conferences, unless they took place on the same day as one of the Supervisory Board meetings held physically.

The members of the Supervisory Board attended the meetings of the Supervisory Board of Covestro AG and its committees, as follows:

	Supervisory Board	Presidial Committee	Audit Committee	Human Resources Committee	Nomination Committee	Sustainability Committee	Overall amount of meetings ¹	
	Meeting attendance	Meeting attendance	Meeting attendance	Meeting attendance	Meeting attendance	Meeting attendance	Meeting attendance	%
Supervisory Board member ²								
Dr. Christine Bortenlänger	7/7	–	4/4	–	–	–	11/11	100.0
Dr. Christoph Gürtler	7/7	–	–	4/4	–	4/4	15/15	100.0
Oliver Heinrich	7/7	–	–	–	–	3/3	10/10	100.0
Lise Kingo ⁴	5/7	–	–	–	–	4/4	9/11	81.8
Irena Küstner ⁴	7/7	0/1	3/4	–	–	–	10/12	83.3
Frank Löllgen (Vice Chair) ⁴	7/7	1/1	3/4	–	–	–	11/12	91.7
Dr. Richard Pott (Former Chair) ⁴	7/7	1/1	0/1	4/4	–	–	12/13	92.3
Dr. Sven Schneider	4/4	–	3/3	–	–	–	7/7	100
Dr. Rainer Seele (Chair since December 20, 2025)	1/1	0/0	–	0/0	–	–	1/1	100
Kerstin Spendel	7/7	–	3/3	–	–	–	10/10	100
Regine Stachelhaus ⁴	6/7	1/1	–	3/4	–	–	10/12	83.3
Marc Stothfang ^{3, 4}	5/7	–	–	3/3	–	1/1	9/11	81.8
Patrick Thomas ³	6/7	–	4/4	–	–	4/4	14/15	93.3
Total	76/82	3/4	20/23	14/15	–	16/16	129/140	92.1

¹ One Supervisory Board and eight committee meetings were held as video conferences, six Supervisory Board and five committee meetings were held physically.

² The three Supervisory Board members appointed to the Supervisory Board as of December 30, 2025, M. Alonso Benito, G. Janssens, and K. Salmeen, are not listed here, since no further meetings of Supervisory Board committees were held from this point onward in the year 2025.

³ Absence for extraordinary meetings convened at short notice due to not being available at that time.

⁴ Absence for personal reasons.

REPORT OF THE SUPERVISORY BOARD

In total, Supervisory Board members attended meetings of the Supervisory Board and its committees with a 92.1% attendance rate. In addition, some Supervisory Board members attended meetings of the Sustainability Committee intended for guest attendance (Irena Küstner attended three meetings, Marc Stothfang two, and Regine Stachelhaus one meeting). The Chair of the Supervisory Board at the time, Dr. Richard Pott, also attended three Audit Committee meetings as a guest before being elected as a member at the end of July 2025 to succeed Dr. Sven Schneider who stepped down from the Audit Committee on July 28. The current Chair of the Supervisory Board, Dr. Rainer Seele, attended one meeting of the Personnel Committee as a guest.

Based on its composition and experience, the Supervisory Board as a whole has in-depth industry expertise in the polymer sector in which Covestro operates.

The members of the Supervisory Board once again participated in continuing personal education in the reporting year 2025 in order to enhance the expertise of the Supervisory Board as a whole. During a visit to ADNOC (Abu Dhabi National Oil Company) Group in Abu Dhabi (United Arab Emirates) in May 2025, the members of the Supervisory Board had the opportunity to familiarize themselves with the company, its philosophy and corporate culture, its production facilities, and a large number of topics relating to the aspects of production, health, safety, environment (HSE), artificial intelligence, and training, and to share information and views with representatives of the company. A workshop organized by the Board of Management in connection with the strategy meeting was held in November 2025, at which Covestro-specific and other topics of relevance for Covestro were highlighted and discussed: securing success by embedding the customer perspective, innovation strategy and innovation infrastructure, as well as the implementation of artificial intelligence in the company. The members of the Supervisory Board also attended a presentation event with an external presenter on the eve of Supervisory Board meeting in June, at which the operation plan for Germany was discussed as a collective national and social task.

Change in the Composition of the Supervisory Board

On February 21, 2025, Kerstin Spindel was appointed to the Supervisory Board by the court, replacing Petra Kronen, who stepped down from the Supervisory Board as of December 31, 2024.

Dr. Sven Schneider stepped down from the Supervisory Board as of the end of September 29, 2025 because he was taking up a position elsewhere.

On December 19, 2025, the Supervisory Board members representing shareholders, Dr. Richard Pott, Lise Kingo, and Regine Stachelhaus stepped down from the Supervisory Board. They had resigned their mandates in connection with the takeover of the company by XRG in order to enable four XRG representatives to join the Supervisory Board in accordance with the investment agreement between Covestro and XRG.

Subsequently, Dr. Rainer Seele, Mercedes Alonso Benito, Guy Janssens, and Khaled Salmeen were appointed as members of the Supervisory Board by court order, Dr. Seele's appointment was made on December 9, 2025 and those of Mercedes Alonso Benito, Guy Janssens, and Khaled Salmeen on December 30, 2025.

The Supervisory Board would like to thank the members who stepped down, Lise Kingo, Dr. Richard Pott, Dr. Sven Schneider, and Regine Stachelhaus for the good working relationship on a basis of trust over many years. The Supervisory Board would like to thank Lise Kingo specifically for her significant support in the establishment of the Sustainability Committee and for chairing this body. The Supervisory Board would like to thank Dr. Sven Schneider specifically for his significant contributions as Chair of the Audit Committee. The Supervisory Board thanked Regine Stachelhaus for her commitment and her valuable contributions in the Presidial Committee and the Human Resources Committee. Dr. Richard Pott deserves special thanks for his role as Chair of the Supervisory Board and, associated with that, as Chair of the Presidial Committee, the Human Resources Committee, and the Nomination Committee: As Chair of the Supervisory Board, Dr. Richard Pott had supported and significantly shaped Covestro since the company was established in the year 2015. During his more than ten years in office, he guided the company through critical phases of its development – from the carve-out from Bayer through the successful listing on the stock exchange down to the latest strategic realignment with its partner XRG.

Principal Topics Discussed by the Supervisory Board

The deliberations of the Supervisory Board focused on the Board of Management's regular reports on business activities, which contained detailed information on the development of the sales and earnings for the Group and the segments as well as on the strategy, opportunities and risks situation, and personnel matters at Covestro.

Material topics of discussion in the course of the year included above all the takeover of Covestro by XRG. In the year 2025, the Supervisory Board focused in particular on the regulatory procedures and the completion of the takeover, including the associated capital increase. The Supervisory Board received regular updates and ultimately approved the capital increase. The body's composition was changed in this context and XRG is now represented by four members, of whom Dr. Rainer Seele was elected as the new Chair. In the year 2025, the Supervisory Board also dealt in detail with Covestro's innovation strategy as well as the latest status of the innovation infrastructure and the future ambitions in this regard.

Items on the agenda of every Supervisory Board meeting were the company's current situation, the economic challenges, and the measures taken by the Board of Management, including the progress of the STRONG transformation program as well as the Board of Management's reporting on the planned takeover of Covestro by XRG. In addition, the Supervisory Board concentrated on the following topics in individual meetings and also through circular resolutions:

On January 15, 2025, the Supervisory Board discussed the issue of bonuses (Covestro Profit Sharing Plan) for the Board of Management for the year 2024 and, on the recommendation of the Human Resources Committee, used a circular resolution to set them to 40 percent in accordance with the performance metrics to be applied to calculating the bonuses. The Board of Management adopted a corresponding resolution for the employees.

The Supervisory Board meeting on February 25, 2025 focused on the annual financial statements and the associated reports. The Supervisory Board discussed in detail the Financial Statements and Consolidated Financial Statements for fiscal 2024, and the Combined Management Report including the nonfinancial Group statement. It also reviewed in detail the audit report and the auditor's oral report concerning the material results of the audit. In addition, the Supervisory Board examined internal risk reporting, which sets out the material risks for the Group and current developments in this regard, as well as the relevant countermeasures. Furthermore, the organization, statistics, training efforts, processes, and effectiveness of the Group's compliance management system were reviewed in depth. The Supervisory Board also discussed the 2025 Annual General Meeting (AGM) and approved the agenda and its resolution proposals for this AGM. Another item on this meeting's agenda was to discuss the Covestro site in LinYuan (Taiwan), which was closed already in the year 2023 and whose sale was approved by the Supervisory Board at this meeting.

Various compensation issues were also discussed, and the Compensation Report of the Board of Management and the Supervisory Board for fiscal 2024 was approved. Moreover, the Supervisory Board approved the amendments to the compensation system for the Board of Management, which had been recommended by the Human Resources Committee. They related, among other things, to the variable compensation components and the Share Ownership Guidelines in case of the takeover by XRG. The long-term variable component required amendment because the price of Covestro shares, which ceased to be traded freely as a result of the takeover offer by XRG, no longer seemed suitable as a metric for the company's long-term success.

Also at this meeting, the Supervisory Board dealt with its self-assessment regarding the effectiveness and efficiency of its work in fiscal 2024. On the whole, members found the activity of the Supervisory Board and of all its committees effective and efficient. They continued to value in particular the detailed discussions and exchanges with the Board of Management on issues relating to strategy, for which sufficient time was allowed at Supervisory Board meetings and the annual strategy workshop. Overall, the results were comparable to those of previous years.

At this meeting, the Supervisory Board also elected its Vice Chair, which had become necessary as a result of Petra Kronen's stepping down from the Supervisory Board; it also filled vacant positions on the committees. In this process, Frank Löllgen was elected as Vice Chair of the Supervisory Board.

REPORT OF THE SUPERVISORY BOARD

In a circular resolution on March 12, 2025, the Supervisory Board approved the renewal of an important supply agreement for the facilities on the Lower Rhine. In another circular resolution on the same day, it approved the closure of site PO11 (joint venture with LyondellBasell) in Maasvlakte, Netherlands.

At the Supervisory Board meeting on April 17, 2025, the main focus was on the Annual General Meeting taking place on the same day, which was conducted in virtual format. After the Annual General Meeting, at which five of the six shareholder representatives were reappointed, the Supervisory Board convened for its constituent meeting to elect the Chair of the Supervisory Board as well as the shareholder representatives on the Supervisory Board committees. Dr. Richard Pott was reelected as Chair of the Supervisory Board.

At its meeting held on June 11, 2025, the Supervisory Board mainly dealt with Covestro's innovation strategy as well as the latest status of the innovation infrastructure and the future ambitions in this regard. At this meeting, the Supervisory Board approved the acquisition of Pontacol AG, a company with operations in the specialty films business. At the same meeting, the Supervisory Board extensively debated an update on the planned takeover of Covestro by XRG, the latest status of the various regulatory approvals, and the potential timeline for the subsequent steps in case the takeover was approved.

In a circular resolution on July 14, 2025, the Supervisory Board reappointed Dr. Thorsten Dreier as a member of the Board of Management (Chief Technology Officer, CTO) and Labor Director for the period from July 1, 2026 to June 30, 2031. The Human Resources Committee had drafted a proposed resolution for the Supervisory Board to this end.

After the Chair of the Audit Committee, Dr. Sven Schneider, had stepped down from the Audit Committee as of the end of July 28, 2025, the Supervisory Board elected the member of the Audit Committee, Dr. Christine Bortenlänger, as Chair and Dr. Richard Pott as another member of the Audit Committee in a circular resolution on July 31, 2025. The members of the Supervisory Board had knowledge of Dr. Schneider's plans for some time and had discussed his successor at an early stage.

At the Supervisory Board meeting on November 12, 2025, the focus was on the regularly scheduled topic of the corporate strategy, after the Supervisory Board had, as in previous years, addressed strategy issues in depth on the day before in a strategy workshop organized by the Board of Management. This meeting was about updating the corporate strategy following consolidation of the aspects of customer centricity, innovation strategy, and the use of artificial intelligence in the company. In the context of updating the corporate strategy, the associated adjusted system of performance metrics to measure the implementation of the strategy was also presented and discussed.

Another item on the agenda of this Supervisory Board meeting was the extension and renewal of an important supply agreement for chemical components for the manufacture of polyurethanes. At this meeting, the Supervisory Board also approved the refinancing of the revolving credit facility and debated the plans for the Sustainability Statement for the current fiscal year.

The main focus of the extraordinary meeting on November 25, 2025 was on the capital increase for Covestro AG using the Authorized Capital 2021. This followed decisions in principle taken by the Board of Management and Supervisory Board on the capital increase in accordance with the investment agreement entered into with XRG on October 1, 2024 and resulted in the issuance of new shares to ADNOC International Germany Holding AG.

In its meeting on December 18, 2025, the Supervisory Board considered various compensation issues. As regularly scheduled, it reviewed the fixed compensation of the members of the Board of Management and considered the short-term and long-term variable compensation for the Board of Management. In another important agenda item, the Supervisory Board looked in detail at the corporate planning for fiscal 2026 proposed by the Board of Management and the medium-term outlook also presented. It approved both the corporate plan and the financing framework proposed for fiscal 2026. The Supervisory Board also issued its declaration of compliance with the German Corporate Governance Code (GCGC).

At this meeting, the Supervisory Board elected Dr. Rainer Seele as Chair of the Supervisory Board as from December 20, 2025, thus succeeding Dr. Richard Pott, who stepped down from the Supervisory Board on December 19, 2025.

Committees of the Supervisory Board

In the past fiscal year, the Supervisory Board had five permanent committees set up so that it can continue to exercise its duties effectively and efficiently. The committees prepared resolutions by the full Supervisory Board and provided information on other topics to be discussed by this body. Moreover, certain decision-making powers of the Supervisory Board were delegated to the committees to the extent legally permissible. The Supervisory Board currently has the following permanent committees: Presidial Committee, Audit Committee, Human Resources Committee, Nominations Committee, and Sustainability Committee. In addition, in accordance with the investment agreement entered into with XRG on October 1, 2024, an Investment Committee was established in February 2026; its purpose is to discuss and pass resolutions on significant investments and M&A projects.

The tasks and responsibilities of the standing committees and their current composition are described in greater detail in "Declaration on Corporate Governance" under "Committees of the Supervisory Board" in the Combined Management Report.

The meetings and decisions of all committees, and especially those of the Audit and Sustainability Committees, were prepared on the basis of reports and explanations provided by the Board of Management. The committee chairs regularly provided comprehensive reports on the work of the committees to the full Supervisory Board.

The **Presidial Committee**, on which shareholders and employees are equally represented, convened for one ordinary meeting in the year 2025. At this meeting on December 3, 2025, the Presidial Committee discussed the annual review of the Qualification Matrix of the Supervisory Board implemented in fiscal 2022. The new Supervisory Board member Kerstin Spendel, who joined in 2025, was added to the qualification matrix. A review of the skills and experience of the Supervisory Board members did not identify any need to make any further changes.

The **Audit Committee** met a total of four times in the year under review: on February 24, May 5, July 28, and October 29, 2025, each time in the presence of the CFO and the auditor. At a working meeting on June 11, only members of the Audit Committee were present. The Audit Committee conducted a preparatory review of the Financial Statements of Covestro AG, the Consolidated Financial Statements of the Covestro Group, and the Combined Management Report for the Supervisory Board. In particular, it also discussed in detail the respective audit report and the oral report by the auditor on the material results of the audit. The Combined Management Report also included the Group's nonfinancial statement. In conducting its review, the Audit Committee found no grounds for objections. It recommended to the Supervisory Board to approve the Financial Statements and Consolidated Financial Statements for fiscal 2024 as well as to consent to the Combined Management Report. In addition, the Audit Committee discussed with the Board of Management the half-year financial report in light of the results of the review by the auditor, and the Q1 and Q3 2025 quarterly statements prior to their publication.

The Audit Committee monitored the accounting and financial reporting process and the appropriateness and effectiveness of the internal control system, the risk management system, and the internal audit system, including sustainability-related aspects, and deliberated on the audit of the financial statements and compliance. In doing so, the Committee received reports, including from the heads of Corporate Audit and the Corporate Law, Intellectual Property & Compliance functions and from the auditor. No material weaknesses were identified in the internal control system for financial reporting purposes or the risk early warning system.

The Audit Committee additionally undertook preparations for the Supervisory Board's proposal for the appointment of the financial statement auditor by the AGM, the engagement of the auditor and agreement on the auditor's fee. It monitored the quality of the audit and the independence of the auditor as well as the supplementary non-audit services provided in addition to the financial statement audit. In this context, the committee had the auditor confirm their independence.

The Audit Committee discussed the audit risk assessment, audit strategy, audit planning, key audit matters, and audit results with the auditor. The Audit Committee and its Chair (Dr. Sven Schneider until July 28, 2025, Dr. Christine Bortenlänger thereafter) had regular meetings with the auditor about the progress of the audit and reported to the Audit Committee accordingly.

REPORT OF THE SUPERVISORY BOARD

Particular issues discussed by the Audit Committee in this fiscal year were aspects of opportunities and risks such as cyber risk (specifically with regard to the security of production and technology IT systems; including analysis and processing of an attack by the CLOP Group in the fourth quarter of 2024, as well as measures to increase cyber resilience), the results of an appropriateness and effectiveness audit of the compliance management system in accordance with IDW AsS 980 (unqualified opinion), an update on tax positions, tax risks, and on the tax compliance management system, as well as discussion of an update on pension assets and pension obligations. In addition, the Audit Committee dealt with the activities in accounting required in connection with the planned takeover by XRG.

Furthermore, the Audit Committee obtained information on an ongoing basis on enhancements to the compliance management system (particularly regarding anti-corruption measures), the handling of suspected compliance violations, progress in significant litigation, new legal and regulatory risks, and the risk situation, risk tracking, and risk monitoring in the Group. The Corporate Audit function provided regular reports about risk assessments. The heads of the relevant corporate functions also participated in meetings of the Audit Committee on selected agenda items, reported on these, and answered questions. In addition, the Chair of the Audit Committee discussed important matters between meetings, particularly with the Supervisory Board Chair, the CFO and the auditor. The key results of these discussions were reported regularly to the Audit Committee and the Supervisory Board. The Audit Committee continued its practice of closed sessions in the year under review. They allow the auditor and the committee during the meeting to have a discussion without the Board of Management being present.

In the reporting period, the Human Resources Committee convened for a total of four meetings and passed two circular resolutions.

In one circular resolution on January 14, 2025, the Human Resources Committee discussed the issue of bonuses (Covestro Profit Sharing Plan) for the Board of Management for the year 2024 and recommended that the Supervisory Board set this to forty percent.

At its meeting on February 25, 2025, the **Human Resources Committee** discussed compensation issues for the Board of Management (review of and adjustments to annual base salaries, approval of payouts of short-term and long-term variable compensation for the year 2024) and the handling of the current tranches for long-term variable compensation. It also debated a new system of metrics for long-term variable compensation for the Board of Management for the case that the takeover by XRG was completed, since this would mean that the share price of Covestro AG could no longer be considered a suitable metric for assessing the company's performance going forward. Furthermore, the Human Resources Committee discussed the short-term variable compensation and the targets for the one-year component. It gave its recommendations for long-term and short-term variable compensation and recommended that the Supervisory Board should approve the compensation system for the Board of Management, which had been adjusted accordingly. At this meeting, the Human Resources Committee also approved the performance of secondary employment by CFO Christian Baier (membership of the Board of Trustees of Frankfurt School of Finance & Management GmbH).

At its meeting on June 11, 2025, the Human Resources Committee discussed aspects of human resources planning and succession planning for the Board of Management.

On July 9, 2025, the Human Resources Committee passed a circular resolution recommending that the Supervisory Board should reappoint the member of the Board of Management, Dr. Thorsten Dreier, as a member of the Board of Management and Labor Director – with a contract term starting on July 1, 2026 and ending on June 30, 2031.

At its meeting on November 12, 2025, the Human Resources Committee continued its considerations on succession planning for the Board of Management.

Key topics on the agenda of the meeting held on December 18, 2025, included the annual review of the appropriateness of Board of Management compensation and short-term and long-term variable compensation of the Board of Management (one-year component for 2026 and LTI 2026–2029 tranche).

REPORT OF THE SUPERVISORY BOARD

The **Sustainability Committee** convened for a total of four meetings. The main issues of its deliberations were the circular economy, sustainability-related projects and initiatives, and the tracking of sustainability-related targets using metrics systems.

At its first meeting on February 17, 2025, the Sustainability Committee dealt with the review of the sustainability-related parts of the Group Management Report and recommended the approval of the nonfinancial Group statement for the year 2024. It also reviewed the progress reports on the Scope 1, Scope 2, and Scope 3 emission reduction targets. It also received information on the Covestro KPI dashboard and paid particular attention in this context to climate and circular economy metrics to assess the implementation of the sustainability-related targets.

In the second meeting on May 23, 2025, the committee debated an update on issue management of regulatory topics. In a further update, the issue of human rights and the EU's Corporate Sustainability Due Diligence Directive (CSDDD) were the subject of discussions. The members of the committee also obtained an overview of the current status of nature-related initiatives at Covestro – with a focus on biodiversity and water management.

The main priority of the meeting on September 26, 2025 was the issue of circular economy at Covestro. It involved firstly an update on the company's circular economy projects and secondly a new enhanced approach to selecting suitable projects for processing and tracking internally. The committee furthermore reviewed the sustainability reporting for the year 2025.

At its meeting on November 21, 2025, the members of the committee dealt primarily with the aspect of digitalization of sustainability at Covestro. This was predominantly about ways and measures to improve the efficiency of sustainability initiatives – especially through various forms of data automation to track and manage sustainability initiatives. This meeting also focused on discussing the intermediate progress made with corporate culture at Covestro as well as a review of key milestones that the Sustainability Committee had debated and monitored in previous years and that were important to Covestro. At the last meeting of the year 2025, the members of the Committee agreed on priorities and core topics for the year 2026.

At all the meetings during the year, current developments and requirements regarding EU chemicals policy, regulations, ratings, and rankings were discussed in addition to the specific topics mentioned. Where relevant, the discussion of all the topics addressed in the Sustainability Committee also included the discussion of entity-specific material impacts, risks, and opportunities associated with them.

The members of the **Nomination Committee** did not convene for any meetings in the 2025 reporting year.

Financial Statements/Audit

The Financial Statements of Covestro AG were prepared in accordance with the requirements of the German Commercial Code (HGB), the German Stock Corporation Act (AktG), and the German Energy Industry Act (EnWG). The Consolidated Financial Statements of the Covestro Group were prepared in accordance with the German Commercial Code and the International Financial Reporting Standards (IFRS) as adopted by the European Union (EU). The Combined Management Report including the Group's nonfinancial statement was prepared in accordance with the German Commercial Code. The auditor, KPMG AG Wirtschaftsprüfungsgesellschaft, Essen (Germany), has audited the financial statements of Covestro AG, the consolidated financial statements of the Covestro Group, and the combined management report. The Nonfinancial Group Statement included in the combined Management Report was subjected to a separate audit by KPMG AG Wirtschaftsprüfungsgesellschaft, Düsseldorf (Germany). KPMG AG Wirtschaftsprüfungsgesellschaft has audited Covestro's financial statements since fiscal 2018. Marc Ufer and Dr. Kathryn Ackermann signed the Independent Auditor's Report for fiscal year 2025. Both of them signed the Independent Auditor's Report for first time on December 31, 2022. The auditor's report on the separate audit of the Nonfinancial Group Statement for fiscal year 2025 was signed by Oliver Geier and Claudia Fielenbach, both of whom signed it for the first time as of December 31, 2024. The conduct of the audit, key audit matters, and results of the audit are explained in the auditor's reports. The auditor finds that Covestro has complied, as appropriate, with the German Commercial Code, the German Stock Corporation Act, the German Energy Industry Act, and/or the IFRS regulations as adopted by the EU. The financial statements of Covestro AG, the consolidated financial statements of the Covestro Group, and the combined management report including the Group's nonfinancial statement received unqualified audit opinions. The compensation report was subjected to a substantive audit and issued with an unqualified audit opinion, which, together with the related disclosures, complies in all material respects with the financial reporting requirements of Section 162 AktG. The financial statements of Covestro AG, the consolidated financial statements of the Covestro Group, the Combined Management Report including the Group's nonfinancial statement, and the audit reports were submitted to all members of the Supervisory Board. The Audit Committee and the Supervisory Board reviewed the financial statement documentation in depth after the auditor's report was presented. The auditor attended both meetings.

The Supervisory Board examined the Financial Statements of Covestro AG, the Consolidated Financial Statements of the Covestro Group, and the Combined Management Report including the Group's nonfinancial statement. It had no objections and thus concurred with the result of the audit. It thus concurred with the result of the audit.

The Supervisory Board approved the financial statements of Covestro AG and the consolidated financial statements of the Covestro Group prepared by the Board of Management. The financial statements of Covestro AG are thus confirmed. Since no net income was generated, there is no proposal for the use of distributable profit. The Board of Management and Supervisory Board jointly prepared the annual compensation report.

Audit of the Related Parties Report by the Board of Management

As of the end of fiscal 2025, the ADNOC Group held around 95% of the shares of Covestro AG: ADNOC International Germany Holding AG held around 83% and XRG P.J.S.C. around 12% of the shares of Covestro AG. Since the transaction was completed on December 10, 2025, Covestro AG has been in a relationship of dependence with Abu Dhabi National Oil Company (ADNOC) P.J.S.C. This means that Covestro AG is a dependent company within the meaning of the German Stock Corporation Act (AktG). The sole shareholder of Abu Dhabi National Oil Company (ADNOC) P.J.S.C. is the Government of the Emirate of Abu Dhabi. Because of this ownership structure, the Government of the Emirate of Abu Dhabi can be considered a controlling company. The dependent company has not entered into a control and/or profit and loss transfer agreement with any company along the entire chain of control – up to the controlling company. For this reason, the Board of Management prepared a report on the company's relationships with related companies for the period from December 10, 2025, to December 31, 2025, in accordance with Section 312 of the German Stock Corporation Act (AktG) (related parties report) and submitted this to the Supervisory Board in a timely manner. The related parties report was audited by the company's auditor, a

REPORT OF THE SUPERVISORY BOARD

written report was presented on the result of the audit, and the following report was issued in accordance with Section 313, Paragraph 3 AktG:

"After due consideration and assessment, we confirm that

1. the actual information in the report is correct, and
2. the company's consideration in the legal transactions described in the report was not inappropriately high."

The related parties report and the auditor's report were submitted to the Audit Committee and the Supervisory Board and reviewed by both bodies. No objections were raised as a result. There were also no objections to the declaration by the Board of Management at the end of the related parties report. It concurred with the result of the audit of the related parties report conducted by the auditor.

Corporate Governance and Declaration of Conformity

During the reporting year, the Supervisory Board again extensively addressed Covestro's corporate governance, taking into account the German Corporate Governance Code and, together with the Board of Management, submitted a declaration of compliance in accordance with Section 161 of the German Stock Corporation Act in December 2025 based on the Code in the April 28, 2022, version. This declaration, which specifies a deviation from G.10 sentence 2 of the GCGC, has been posted on Covestro's website.

Expression of Appreciation from the Supervisory Board

The Supervisory Board would like to thank the Board of Management and all of Covestro's employees for their unwavering dedication in the 2025 fiscal year. The Supervisory Board wishes all of them success in dealing with the current economic and geopolitical challenges in a time of multidimensional crises. The Supervisory Board would also like to thank Covestro's shareholders for the trust they have placed in the company.

Leverkusen, February 25, 2026

For the Supervisory Board

Dr. Rainer Seele
Chair



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